

Summary of proposals

REFORM OF THE RESOURCE MANAGEMENT SYSTEM

A model for the future

Synthesis report

Greg Severinsen



Michael &
Suzanne
Borin
Foundation



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Local Government New Zealand ... believes it is timely to step back and consider the big picture and the long game... It is time for a "blue skies" discussion about the future of the resource management system.

Local Government New Zealand, 2015

Repeated amendments to [New Zealand's] planning statutes have increased their complexity and reduced their coherence... The natural and built environments require different and distinctive regulatory approaches.

New Zealand Productivity Commission, 2017

Aotearoa New Zealand's current resource management system is broken. It is failing to achieve its purpose and has become complex, dysfunctional and inaccessible.

Kahui Wai Māori, 2019

... much remains to be done to ensure that the principle of partnership inherent in the Treaty [of Waitangi] moves towards an everyday reality.

Resource Management Review Panel, 2019

[A]n independent Royal Commission inquiry into local government and planning law reform in New Zealand is needed.

Infrastructure New Zealand, 2015

Perhaps a crux of success or failure as a society is to know which core values to hold on to, and which ones to discard and replace with new values, when times change.

Professor Jared Diamond, 2011

Ours is the first generation to properly understand the damage we have been doing to our planetary household, and probably the last generation with the chance to do something transformative about it.

Kate Raworth, 2017

FOREWORD

This document summarises the final report in a series of publications that have taken a first-principles look at the resource management system in Aotearoa New Zealand. The report is the synthesis of a number of working papers, and brings an unprecedented depth of analysis, thought and experience to considering what an improved system for managing our natural and built environments could look like.

The research, ably led by Dr Greg Severinsen, has spanned three years and has engaged with a wide range of experts and entities to garner a collective view of what the future system should look like. It makes tangible suggestions for reform that would be staged in a workable fashion. The reforms proposed have been built up from carefully considered ethical foundations and are calibrated for our future needs, not the past.

Central to the propositions we propose are the need for environmental bottom lines or limits. There is widespread agreement across society that we need to better protect our natural world. But our lens for this work has not just been an environmental one. The project has taken a wide focus including the need to enable sustainable economic development and improved social outcomes including in our towns and cities. The model described here is designed to work for all New Zealanders. It respects te Ao Māori and the obligations contained in the Treaty of Waitangi, though we do not speak for Māori.

The report concludes that reforming the resource management system needs to look beyond the law and consider underlying funding and institutional arrangements. It needs to be more future focused and strategic, and less siloed. Spatial planning is tool that should be more widely deployed. To cope with future needs the system should be more fleet-footed and adaptable. We propose the creation of a Futures Commission to provide oversight and future focus, so we anticipate needs instead of simply reacting to them.

Overall we conclude that a rewritten Resource Management Act – perhaps renamed – should form the core of the reformed system. We favour merging other laws in a more coherent and joined-up way, including those relating to the marine environment and nature conservation. Greater alignment and coordination is required to manage urban growth and infrastructure challenges and, above all, climate change. The challenges we face are long term ones, and require an injection of robust institutional independence that depoliticises issues. Regulation cannot be the only answer, and the system will need to engage deeply with economic and behavioural incentives to drive positive action.

During the life of the project, the government set up its own review of the resource management system, which is currently underway. We have helped stimulate

that decision and are grateful that one of our project researchers and authors, Raewyn Peart, has been appointed to the Panel chaired by the Hon Tony Randerson QC. We hope that this final report will be of assistance to the Panel.

We would like to acknowledge with thanks the primary funders for the project - the New Zealand Law Foundation and the Michael and Suzanne Borrin Foundation. Additional funding and helpful perspectives were also contributed by our partners, the Employers and Manufacturers Association (Northern), Property Council New Zealand and Infrastructure New Zealand. Thanks also to Watercare for its support.

Reforming our resource management system is a complex challenge. The extent of analysis in this final report underlines that. My plea is that everyone involved in this ongoing debate avoids rushing to ill-considered outcomes. We have had enough of bad decision-making and imperfect law. Let's engage a genuine non-partisan discussion, free of hyperbole and point-scoring.

Nothing like this report has been done before and hopefully it will be a useful foundation for that national discourse.

Gary Taylor *CNZM QSO*
Environmental Defence Society



IN A NUTSHELL

In its *Reform of the Resource Management System* project, the Environmental Defence Society (EDS) has looked, from first principles, at how Aotearoa New Zealand can manage its environment and resources better. Our resource management system is about protecting our natural heritage, providing for New Zealanders' social, cultural and economic wellbeing, and preserving our natural and physical resources for future generations. Reform requires more than just another amendment to the RMA, and there is now an urgent need for a comprehensive rethink.

This summary report outlines the bones of what a future resource management system in New Zealand could look like. Our core proposals and suggestions are summarised below.

The Resource Management Act

- Retain the Resource Management Act 1991 (RMA), or an integrated statute like it, at the heart of the system, rather than starting again from scratch or splitting the Act
- Rewrite **Part 2** of the Act (its purpose and principles) to recognise the pre-eminence of environmental bottom lines, the importance of good urban planning, and the need to resolve allocative issues
- Strengthen obligations in the Act to give effect to **Treaty principles**
- Require the establishment of environmental **targets**, and put in place timeframes and an accountability framework around them
- Remove jurisdiction from the RMA (and regional councils) for oceans management beyond 3 nautical miles, and give them to an **Oceans Act** and **Oceans Agency**
- Require central government to produce a single, integrated and coherent piece of national direction (a **National Environment Plan**) addressing all matters of national importance and relationships between them
- Retain separate **National Planning Standards**, but expand them to apply to national direction as well as council plans
- Replace existing **council planning processes** with two new processes: (1) a process for creating and reviewing plans that resembles the Auckland Unitary Plan making process, and (2) a process for plan changes involving a single-stage hybrid decision-making panel
- Require councils to work together (and with **iwi and hapū**) to create a combined regional plan, paving

the way for a broader conversation about local government structural reform

- Provide a greater role for the **Environmental Protection Authority** (EPA) in regulation making in national direction and council plans (notably for freshwater)
- Revise settings for **resource consenting** in various ways, including by removing jurisdiction from Boards of Inquiry and considering removing jurisdiction from elected members
- Establish an independent **Environmental Defender's Office**, charged with undertaking public interest litigation
- Revise settings for **compliance monitoring and enforcement**, including by providing a stronger role for the EPA
- Strengthen **water conservation orders**, and introduce other **order-based tools** of a similar nature (such as a Heritage Area Order)
- Replace a first in, first served approach to **freshwater allocation** with a more structured approach (potentially consisting of regulatory and economic mechanisms, and trading mechanisms where appropriate), and allow a space for Treaty obligations to evolve
- Establish a national **Environmental Water Holder** to participate (representing the public interest) in any future water markets
- Provide **direct assistance** (financial and otherwise) from a national level body to councils to implement national direction

Other legislation for the urban and built environment

- Integrate the Local Government Act 2002, Land Transport Management Act 2003, and other infrastructure-focused legislation into a single **Local Government and Infrastructure Act**
- Amalgamate **councils** where they are no longer viable economic entities
- Over time, provide a process for **regionalisation** of some council functions, and for conversation to continue as to how exactly that would look in terms of structural reform of local government
- Align planning and funding **decision-making processes** more closely under the RMA and infrastructure-focused legislation
- Strengthen the regulation of "**three waters**" (drinking water, wastewater and stormwater) services for environmental and health reasons

- Establish regional or cross-regional **council-controlled organisations** for the delivery of drinking water and wastewater services, including Crown involvement
- Establish an **economic regulator** to oversee three waters services investment and pricing
- Expand the **funding and financing** tools available to councils, including the further investigation and deployment of a locally levied GST (although not as a replacement for rates)
- Strengthen the **Building Act 2004** and Building Code to enhance environmental outcomes
- Establish an **urban development authority** framework, but make considerable changes from what is currently proposed

A new Future Generations Act

- Create a new, overarching piece of strategic legislation: a **Future Generations Act**
- Establish a new **Futures Commission**, an independent, standing watchdog body having roles under various other statutes (including in the review of instruments under the RMA)
- Alongside, or within, this Commission, establish a **Tikanga Commission** (or commissioners) having a comparable watchdog and review role, but from a Māori perspective
- Over time, merge other independent institutions with the Futures Commission, such as the **Parliamentary Commissioner for the Environment** and the **Climate Change Commission**
- A Futures Commission would be charged with periodically issuing public authorities with a **scorecard**, auditing their performance against criteria in the Act. Public authorities would be required to respond.
- A Futures Commission would have a **futures scanning** role (looking ahead to identify threats and opportunities), to which the government would be required to respond
- Establish a standing, cross-departmental grouping of officials to act as a steward for the resource management system as a whole, and to provide integrated advice to Ministers and Cabinet (a **Futures Group**)
- Provide a set of general **duties and criteria** that would apply to all public decision-making (including non-statutory decisions like investment and procurement)
- Provide for the creation of national and regional **strategic spatial plans** with meaningful legal influence on other frameworks, such as the RMA and infrastructure legislation (to, among other

things, provide coordinated management of urban growth)

- Require strategic spatial plans to be accompanied by indicative sources of **funding**
- Strengthen **Māori** involvement in strategic spatial planning
- Over time, integrate various piece of existing cross-cutting legislation into a Future Generations Act (eg the framework for environmental reporting and legislation establishing institutions)
- Establish a process for **reviewing all other relevant legislation**, including their purposes and principles, to align them with new imperatives (including climate change) in a Future Generations Act

Climate change legislation

- Integrate the strategic climate change measures under the **Climate Change Response (Zero Carbon) Amendment Act 2019** into a Future Generations Act
- Provide for stronger enforcement mechanisms for failures to meet **targets and carbon budgets**
- Strengthen the **emissions trading scheme** and related mechanisms, including through the meaningful pricing of agricultural emissions
- Introduce **novel tools** (including financial tools) to encourage mitigation and adaptation
- Create a **Climate Change Adaptation Fund** to be deployed in a strategic way

A new Oceans Act

- Establish an integrated **Oceans Act** combining aspects of the RMA, Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012, biosecurity, maritime transport, and fisheries
- Establish a new **Oceans Agency** and a **Minister for Oceans**
- Provide for the creation of an integrated **Oceans Plan**
- Provide a clear legal mechanism by which **marine spatial plans** can be developed and implemented

Integrated conservation legislation

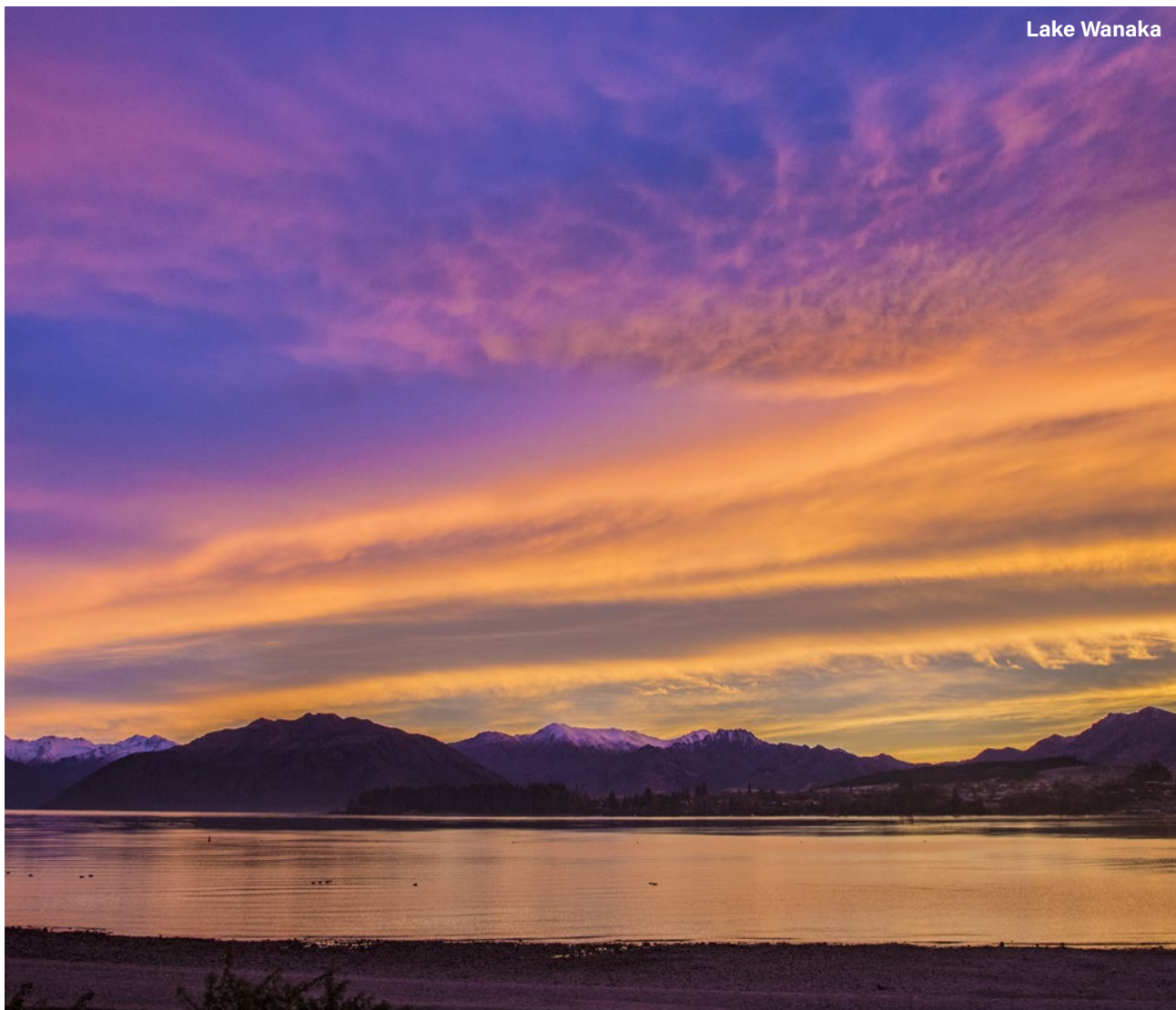
- Rationalise conservation legislation into an integrated **Protected Areas and Species Act**, applying to both land and sea, and having two substantive parts: one focused on protected areas, and one focused on species protection
- Rationalise and strengthen protections for **protected areas**, including internationally significant areas

- Strengthen **species protection**, based on improving the framework of the Wildlife Act 1953
- Strengthen **Māori** concepts and involvement
- Strengthen the role of independent institutions, including a review role for a Futures Commission in relation to conservation strategies and plans
- Further investigate and establish a national **biobanking** framework to deploy biodiversity offsets in a strategic way

System-wide measures

- Retain and uphold existing **Treaty settlement legislation**, improving cross-referencing
- Strengthen **monitoring, information-gathering and reporting** requirements
- Require the establishment of pre-set indicators, requiring **corrective action** to be taken if triggered
- Strengthen measures to transition to a **circular economy**, notably under the Waste Minimisation Act 2008

- Strengthen **directors' duties and corporate disclosures** in relation to the environment and climate change
- Deploy **green taxes** with more vigour
- Take a more strategic and systemic approach to **subsidies** and payments for ecosystem services
- Deploy **resource rentals** in a nationally coherent, systematic, and fair way over time
- **Hypothecate** revenue raised through green taxes and resource rentals by channelling it back into environmental restoration measures
- Gradually shift part of our broader tax base towards an **environmental footprint tax** (and rebate) system
- Provide a more active role for government in **green certification**
- Embed environmental and climate change principles in the **school curriculum**
- Strengthen behavioural incentives in the system, and establish a cross-agency **behavioural nudging unit**



Lake Wanaka

1. INTRODUCTION

In its *Reform of the Resource Management System* project, EDS has taken a fresh look at Aotearoa New Zealand's resource management system and presented a model for fundamental change. System reform is not just about the Resource Management Act 1991 (RMA). It is much wider than that, and includes many different laws, institutions, processes and incentives. The need for a comprehensive rethink is urgent, given the sub-optimal environmental outcomes we are currently seeing and the scale of future challenges before us. There has been cross-sectoral and cross-party support for a comprehensive review for some time now, and the government has recently established an independent review group to do just that. At the time of writing, the review group's Issues and Options paper has just been released.¹

The EDS project had two phases. Phase 1 (*The Next Generation*) was completed at the end of 2018, and culminated in the publication of a final report in February 2019. That outlined three possible broad models for what a reformed system could look like, and provided the analytical foundation for Phase 2. We encourage readers to engage with it separately.²

Phase 2 of the project was undertaken over the course of 2019, and resulted in the publication of the final synthesis report. It presents our preferred model for reform. This summary of proposals distils the key messages from that report. The overall intention of Phase 2 of the project has been to provide a tangible vision and roadmap for change. Our hope is that it will serve as a useful reference for a government embarking on its own reform journey,³ and as a platform for others wishing to be part of that process.

The overall structure of the Phase 2 synthesis report is presented below in Figure 1. Broadly speaking, it is structured according to the key pieces of legislation we see operating in the future. These are highlighted in beige below. We then address, in Chapter 13, aspects that cut across multiple statutory frameworks or are not directly related to legislation (wider system change).

Ch	Topic
1	Introduction
2	Preferred criteria for reform
3	Criteria, ethics and the roles of a future system
4	What we have now: The current system
5	The future of the RMA: Legislative design and Part 2
6	Planning under a new RMA: Central government
7	Planning under a new RMA: Local government
8	Strategic legislation: A Future Generations Act
9	Climate change legislation
10	Other legislation for the "built" or "urban" environment
11	Oceans legislation
12	Conservation legislation
13	Wider system change
14	Concluding comments: A pathway to reform

Figure 1: Structure of the Phase 2 synthesis report



How reforms would occur over time is also crucial. Not everything needs to, or should, happen at once. Within each chapter, we therefore consider how a particular statutory framework would emerge or change over time. We are thinking about a reform pathway in three broad steps: short term, medium term and longer term. We do not put a specific timeframe around those, other than to say they will need to be ambitious, while taking into account the resourcing that is available. The important thing is to prioritise effort and stage reforms over time towards a coherent vision or end point, not continue to tinker in response to particular problems or political point scoring.

No doubt readers will be most interested in short- or medium-term changes, as they involve realistic policy proposals to put before a reform-minded government. It is therefore useful to identify and describe those kinds of reforms in more detail. For example, we have provided drafting for how a new purpose and principles section for the RMA might look, which we see emerging in the short term.

Our short-term proposal is primarily about building on the basic frameworks we already have, with some significant additions. For example, we propose continuing to have an Act like the RMA at the core of the system, but changing the Act's purpose and principles, rethinking its planning processes, and expanding its toolbox. There would be stronger provision for Māori in decision-making processes. We would also see a new statute – a “Future Generations Act” – and a new, independent institution – a

“Futures Commission”. A layer of strategic spatial planning would appear.

In the medium term, we envisage more far-reaching reforms, albeit still ones that build on many of the basic structures we already have. For example, we would see the emergence of a new “Oceans Act” and “Oceans Agency” tasked with the integrated management of our deep-sea environment, and the rationalisation of conservation legislation.

However, longer-term reform is equally important. For example, in Chapter 13 we propose a shift in our tax base away from mechanisms that penalise positive outcomes (eg income tax and GST) and towards things that penalise negative behaviour (eg environmental degradation). Thinking beyond one term of government should not be dismissed as irrelevant simply because it cannot result in an immediate reform bill or the focus of a political mandate defined by an election cycle.

Throughout the synthesis report, we also identify various “conditional” reforms. These do not have predetermined timeframes around them, but would be carefully considered or triggered if certain things happened (or failed to happen). Sometimes, we need a “Plan B” prepared in advance.

We end the report in Chapter 14 by focusing on a pathway to reform. We provide a rough timeline for how change to the system as a whole would occur over the short, medium and longer term. This can also be seen in the Appendix of this summary of proposals.

2. CRITERIA FOR REFORM

In Chapter 2 of the synthesis report we select and present a preferred set of criteria for reform. In essence, we are adopting the “progressive” set floated in Working Paper 1.⁴ Our criteria recognise the need for far-reaching change to achieve ambitious goals, but do not seek to overturn all aspects of the current system. Realism, and a staggered approach to reform, is important if change is to actually happen. We also do not want a knee jerk reaction that wipes the slate clean, risking the loss of many good aspects of the system (eg important case law). We do not want unnecessary disruption, but we also recognise that disruption will, in many cases, be necessary.

We are treating criteria as a broad anchor for debate, rather than driving particular answers or producing blueprints for reform. As such, we have held them in mind when considering our options, rather than treating them as a checklist. Generally speaking, our criteria emphasise the need to establish and hold firm essential biophysical bottom lines or environmental limits, including where necessary for human survival and to protect the intrinsic worth of the natural world. They also recognise the need to uphold Treaty settlements and implement the principles



of the Treaty. Moreover, human wellbeing is seen as being about more than just economic and social freedom to act, or the provision of public goods. It is about many other things, including building social and economic resilience, respecting communities' wishes, and outcomes and processes that are fair rather than just efficient. We stress the need for equity, as well as certainty, but also recognise the need for agility and timely outcomes.

Key points

- We adopt a “progressive” set of criteria for reform, striking a balance between the need for ambition and change, and the need for pragmatism.
- Criteria form useful anchor points for debate, but do not spit out a blueprint for reform. Considerable debate will still be possible as to how they are applied.

In Chapter 3, we consider what reform criteria mean for the ethics and principles that will define a future system, and the roles it will be expected to perform. We recognise that multiple worldviews or ethics will need to underpin the system. We are not adopting a particular theory or lens like ecocentrism, for example. This is not only because mediating between a melting pot of worldviews will be the political reality, but also because we see a plurality of ethics as a good thing. We can learn a lot from each other's perspectives. Indeed, we are already



seeing a positive convergence of thinking in this area with concepts like Te Mana o Te Wai. A future system will need to seek out similar nodes of agreement as well as mediate between legitimate tensions in people's worldviews.

Ultimately, there is growing acceptance and convergence among New Zealanders about the outcomes we need to see. If changes in ethics (eg seeing nature as having moral worth rather than just instrumental value) help us to achieve those, then that is a positive thing. In particular, while economic tools (eg natural capital valuation, taxes and resource rentals) will be important in driving change, we should not be attached to a narrow neo-liberal economic orthodoxy in how we manage our taonga and resources. There is a strong moral component to be considered here, too, over which experts and technicians have no particular claim.

In Chapter 3 we also reinforce the conclusions reached in the Phase 1 report about when it will be appropriate for the system to intervene (ie when public intervention is appropriate).⁵ In short, we consider that a narrow rationale based on remedying market failure or internalising externalities would be overly constraining, and that instead the system should have a role where either the public interest is at stake or where the interests of Māori as Treaty partners need to be addressed. This leads to seven core roles we see the system as a whole needing to perform:

1. Imposing and maintaining firm biophysical bottom lines or limits
2. Facilitating trade-offs above bottom lines
3. Actively pursuing positive outcomes – managing a transition to something better
4. Providing public goods – particularly in the built or urban environment
5. Protecting and respecting the interests of Māori, including giving effect to the principles of the Treaty of Waitangi
6. Allocating non-private resources
7. Resolving disputes

Key points

- Many ethics and worldviews will need to be reflected and embraced in a future system.
- Nodes of agreement and convergence should be embraced, as in the concept of Te Mana o Te Wai.
- Intervention will be appropriate where there is a public interest or where needed to provide for the interests of Māori.
- That leads to seven core roles that a future system as a whole will need to perform. Central to that will be the imposition and maintenance of firm environmental bottom lines.

3. THE CURRENT SYSTEM

In Chapter 4 of the synthesis report we briefly outline the core features of the current system, by looking in turn at our existing statutory frameworks. This is important because what we have now is a reference point for what needs to change. Yet the “current” system is actually a moving feast, especially in light of a range of proposed changes being floated and progressed by the government. What some of these will end up looking like (eg an urban development authority model, or institutional arrangements for drinking water and wastewater services) is unclear.

We highlight the most important of these, and the need to consider how they would (or would not) be integrated into a future model. Of particular importance is the government’s recent establishment of a panel looking at

the future of the resource management system as a whole, which is due to publish its final report in May 2020.⁶

Key points

- The current system provides an important foundation upon which reform will be built. In light of the government’s active reform agenda, it contains many moving parts that need to be considered, integrated, or reconfigured.
- Of particular importance is the government’s independent review group for resource management system reform, which is due to report in mid-2020.

4. THE LEGISLATIVE AND INSTITUTIONAL ARCHITECTURE OF A FUTURE SYSTEM

Over the course of Chapters 5–13 of the synthesis report we present our preferred model for system reform. But before summarising those chapters, it is worth pausing to provide a bird’s eye view: a snapshot of the legislative and institutional skeleton off which most other reforms would hang. We consider the overall legislative architecture first, and Figure 3 outlines what would happen to existing legislation.

We see merit in retaining the RMA, or an integrated statute like it, at the heart of a future system. While there would be many attractive features of having, for example, a separate “Planning Act” and “Environment Act”, on balance we think that the risks of such a split would outweigh its benefits. In particular, there is the need to retain close connections, within a single statute, between land use planning and other “environmental” domains like water, air, climate and soil. To weaken that link would be a retrograde step.

Implicit in the retention of the RMA is also a rejection of the idea of rearranging our core statutes along completely different lines (eg separate sectoral, domain-based, or location-specific Acts).⁷ At the heart of the system would continue to be an integrated, outcomes-based statute that applies across the country and encompasses air, water, land and marine domains. Additional layers of legislation would then fill gaps in a similar kind of way as in the current system.⁸ For example, the RMA would not be concerned with the “sustainable” allocation of Crown-owned minerals or with the active provision of water

infrastructure. There would remain separate frameworks to deal with those functions. The notable exception, explored further below, would be a dedicated “Oceans Act” (a largely spatial separation) for the environmental management of the deep sea.

Key points

- We envisage that an integrated, outcomes-based statute like the RMA would continue to exist at the core of a future system. It would not be split into separate statutes for “planning” and “environment”.
- However, this Act would not do everything, and would have fundamental changes made to it to improve its utility.

Alongside the RMA, we envisage that separate legislation for local government and infrastructure could usefully be merged into an integrated “Local Government and Infrastructure Act”. That would incorporate the existing Local Government Act 2002, Land Transport Management Act 2003 and any separate legislation for “three waters” (drinking water, wastewater and stormwater) infrastructure.⁹ A Local Government and Infrastructure Act could also subsume recently enacted legislation setting up an Infrastructure Commission.¹⁰ This is not to suggest that local government is just about infrastructure provision, simply that a more integrated or aligned process for local and central infrastructure planning and funding (including

for transport and three waters) would be desirable. That could be facilitated by having an integrated statute.

Key points

- Legislation for local government and infrastructure planning and funding would remain separate from the RMA.
- However, an integrated Local Government and Infrastructure Act could be enacted to combine the Local Government Act, Land Transport Management Act, and other relevant legislation.

At the moment, misalignment between the RMA and frameworks concerned with infrastructure is causing problems, especially in the context of rapid urban growth. There is little point rezoning land for residential development under the RMA without the infrastructure (eg roads and water pipes) to service it, or for infrastructure to be planned in areas where land use changes are not enabled. The result has been a shortage of developable land in some places, exacerbating issues with housing affordability. Retaining separate statutes for land use and infrastructure planning means there would be a pressing need to align them better in other ways.

To coordinate land use and infrastructure functions, we envisage that higher level strategic spatial planning would occur at a regional scale. Spatial plans would be produced under a new piece of legislation, which we are calling a "Future Generations Act". This would be an overarching, integrative statute of quasi-constitutional significance that would flow down into other more targeted "implementation"-style statutes. Spatial plans would, generally speaking, need to be implemented in more detailed plans made under the RMA and a Local Government and Infrastructure Act. (A Future Generations Act would also have a much broader significance, as explored below.)

The RMA, Local Government Act and Land Transport Management Act (and associated spatial planning to align them) are sometimes presented as being synonymous with the resource management system as a whole. In the urban growth context, they are certainly of central importance. But there are many other statutory frameworks we see operating in a future system: there are good reasons for having more targeted "implementation" statutes focused on particular things.

In particular, statutes designed to impose environmental protections should be separate from other statutes focused on driving development.¹¹ For example, we would not wish to see a framework like the RMA integrated with statutes requiring the provision of infrastructure or encouraging the extraction of minerals. Too much integration can also make a statutory framework unwieldy, vague in its purpose, and inaccessible to users.¹²

Separate statutes can also be appropriate where they use quite different tools, as long as they can operate largely independently from each other. For example, the Building Code, RMA plans, council long-term plans, product stewardship schemes and hazardous substances approvals may have a degree of overlap in terms of outcomes sought (eg sustainability), but they rely on very different trigger points for action. We would not expect to see a framework for the emissions trading scheme or the Building Code integrated into the RMA. Fragmentation is, therefore, a good thing to some extent; but only insofar as the system's statutes are consciously designed to form pieces of a coherent overall solution. They should not pull in different directions. We envisage that an umbrella Future Generations Act, with a common set of high level principles, will provide a degree of alignment across all of them.

In short, we do not see an unlimited scope for legislative integration. A "super RMA" should not devour all other frameworks, even environmentally protective ones (eg the Conservation Act 1987 or Waste Minimisation Act 2008). The RMA's purpose is broad, but the kind of restrictions/tools it provides for are narrow when compared to the bigger picture. Nor would a Future Generations Act be a place where all other statutes are simply stitched together. Its role would be to provide strategic alignment at the top of the system (in ways outlined further below), not to combine every kind of plan, permit and other mechanism in one place.

Key points

- We envisage a number of other targeted statutes continuing to exist in a future system, alongside the RMA and a Local Government and Infrastructure Act.
- There would also be a higher level layer of strategic legislation above these – a Future Generations Act.
- Among other things, this Act would provide a framework for regional level spatial planning to coordinate land use and infrastructure planning in areas of high urban growth or change.

That said, in the longer term we see a case for integrating several existing statutes into a Future Generations Act. These would be statutes that are about establishing the broad architecture of the system rather than those (eg regulatory statutes like the RMA) that are about making direct, on the ground change. For example, environmental reporting (including the Environmental Reporting Act 2015) could be subsumed, recognising that this activity needs to cut across and influence all other frameworks, in the ways that a Future Generations Act would be designed to do.

State of the environment monitoring requirements under the RMA, which are crucial to inform such reporting (and not just for RMA functions), could be shifted too. Other legislation of a cross-cutting or “strategic” nature could also be integrated, such as the Energy Efficiency and Conservation Act 2000, the Environment Act and the Environmental Protection Authority (EPA) Act 2011. While it would not be strictly necessary, it may make some sense for the Environment Court to eventually be established/continued under such a system-wide statute, given that the Court has roles under multiple statutes and not just the RMA.

Of particular significance here is Zero Carbon legislation, which has been recently enacted. This has taken the form of an amendment to the Climate Change Response Act 2002 (which under current settings makes a great deal of sense), but it is at heart a framework for strategic planning for climate change mitigation and adaptation. It provides for targets and carbon budgets, and for the preparation of emissions reduction and adaptation plans. All of those things will need to have meaningful flow-on effects under multiple frameworks, not just the Climate Change Response Act itself. For example, it is hard to picture a world in which a climate change adaptation plan did not rely heavily on land use restrictions under the RMA, or infrastructure investment decisions under a Local Government and Infrastructure Act. Clear links therefore need to be made between those frameworks. Strategic planning for climate change seems well suited to integration within the high level strategic planning framework of a Future Generations Act.

Key points

- A Future Generations Act could subsume some existing statutes (or parts of them) having “system-wide” application.
- In particular, the Act could be a suitable location for the strategic aspects of climate change mitigation and adaptation currently contained within the Climate Change Response (Zero Carbon) Amendment Act 2019.

We also see significant room for the further rationalisation of legislation. Our statute book has become unnecessarily complex and fractured. For example, consideration should be given to integrating components of the Forests Act 1949 into the RMA and the Climate Change Response Act, and a new Local Government and Infrastructure Act would seem a logical home for legislation concerned with erosion and flood control responsibilities.¹³ Of greater significance is the fact that our current set of “conservation statutes” is defined by considerable fragmentation and cross-referencing between Acts that, broadly speaking, seek to do very similar things. We envisage that these would be integrated into a single “Protected Areas and Species Act”, encompassing both land and sea. The Act would have a clearer purpose and principles, and rationalise our complex array of protected area categories.

As mentioned earlier, we are also floating the idea of an integrated Oceans Act. This would recognise that closer connections need to be made between multiple frameworks dealing with the marine environment. A new Oceans Act would (for RMA-type functions) apply on the seaward side of a line drawn at 3 nautical miles from



Kawau Island

the coast. It would incorporate parts of the RMA and Biosecurity Act 1993, as well as the Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012 (EEZ Act), Fisheries Act 1996 and Maritime Transport Act 1994. Conservation frameworks applying partly or wholly to the oceans – like marine reserves, marine mammals and wildlife – would instead be integrated into dedicated conservation legislation described above, but with clear inter-statutory links made with an Oceans Act.

Key points

- Existing conservation legislation could be rationalised into a single Protected Areas and Species Act, which would span land and sea.
- We are suggesting a new Oceans Act, which would integrate many marine-focused aspects of legislation into one place. For RMA-style functions, it would apply on the seaward side of a line 3 nautical miles from the coast.
- There seems potential for the rationalisation of other legislation, including the Forests Act and legislation concerned with erosion and flood control measures.

There are persuasive reasons to keep other more targeted frameworks separate (but with links between frameworks clarified). Into this category would fall:

- The Hazardous Substances and New Organisms Act 1996
- The Building Act 2004 (and Building Code)
- The Waste Minimisation Act 2008
- The Biosecurity Act 1993 (except for its marine components)
- The Climate Change Response Act 2002 (which would remain a framework primarily targeted at the emissions trading scheme)
- The Ozone Layer Protection Act 1996
- Dedicated urban development authority legislation (Kāinga Ora – Homes and Communities Act 2019), which would be subject to considerable change from what is currently proposed
- The Crown Minerals Act 1991 (integrating the Continental Shelf Act 1964)
- The Marine and Coastal Area (Takutai Moana) Act 2011
- The Heritage New Zealand Pouhere Taonga Act 2014

Treaty settlement legislation (eg the Māori Fisheries Act 2004 and Te Urewera Act 2014, alongside many other Acts) would remain, but we see a case for embedding their provisions more clearly in the more general frameworks (like the RMA) that they alter or influence. That could occur through simple cross-referencing

or “flagging” provisions.¹⁴ The complexity of bespoke processes is inevitable here, but accessibility could be improved. As the government’s resource management review panel has pointed out:¹⁵

There are now 70 pieces of settlement, collective redress or hapū/iwi specific legislation with 76 groups (comprising a mix range of iwi, hapū and various collectives). It is timely to consider how the resource management system responds to this new landscape.

Key points

- There are good grounds for keeping many other targeted frameworks separate in a future system.
- Generally, stronger links would be made between them, and an overarching Future Generations Act would provide a stabilising force and common principles.

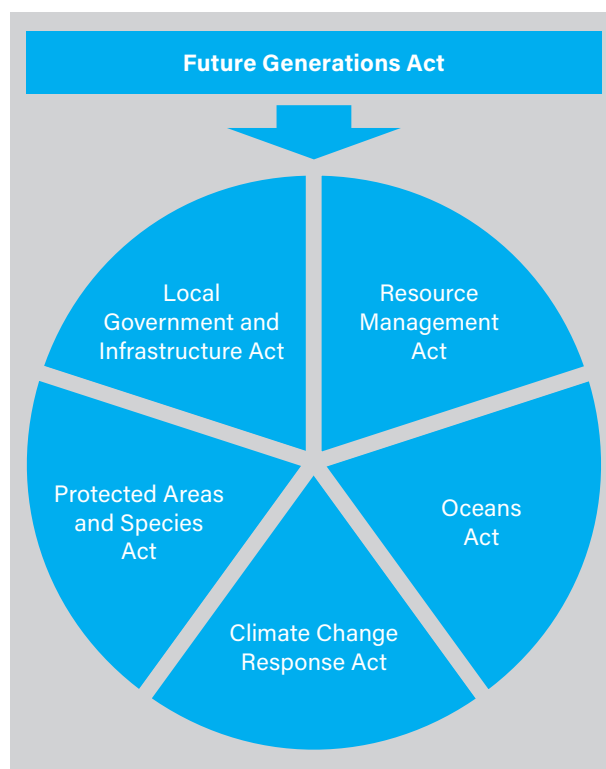


Figure 2: Six core statutes in a future resource management system. A strategic Future Generations Act would have overarching principles and provide for higher level strategic planning to occur, which would influence other frameworks. Significant rationalisation of statutes would occur, but many frameworks would remain separate. Closer links would need to be made between many of them.

Alongside legislative design considerations, it is worth flagging some high level points about institutions in a future system. Notably, while it is crucial that decision-makers remain accountable when making decisions about policy and values (eg through Ministers and councils), we also see dangers in a system that relies too much on political will to make change, and the incentives provided by short-term political cycles. There need to be firmer

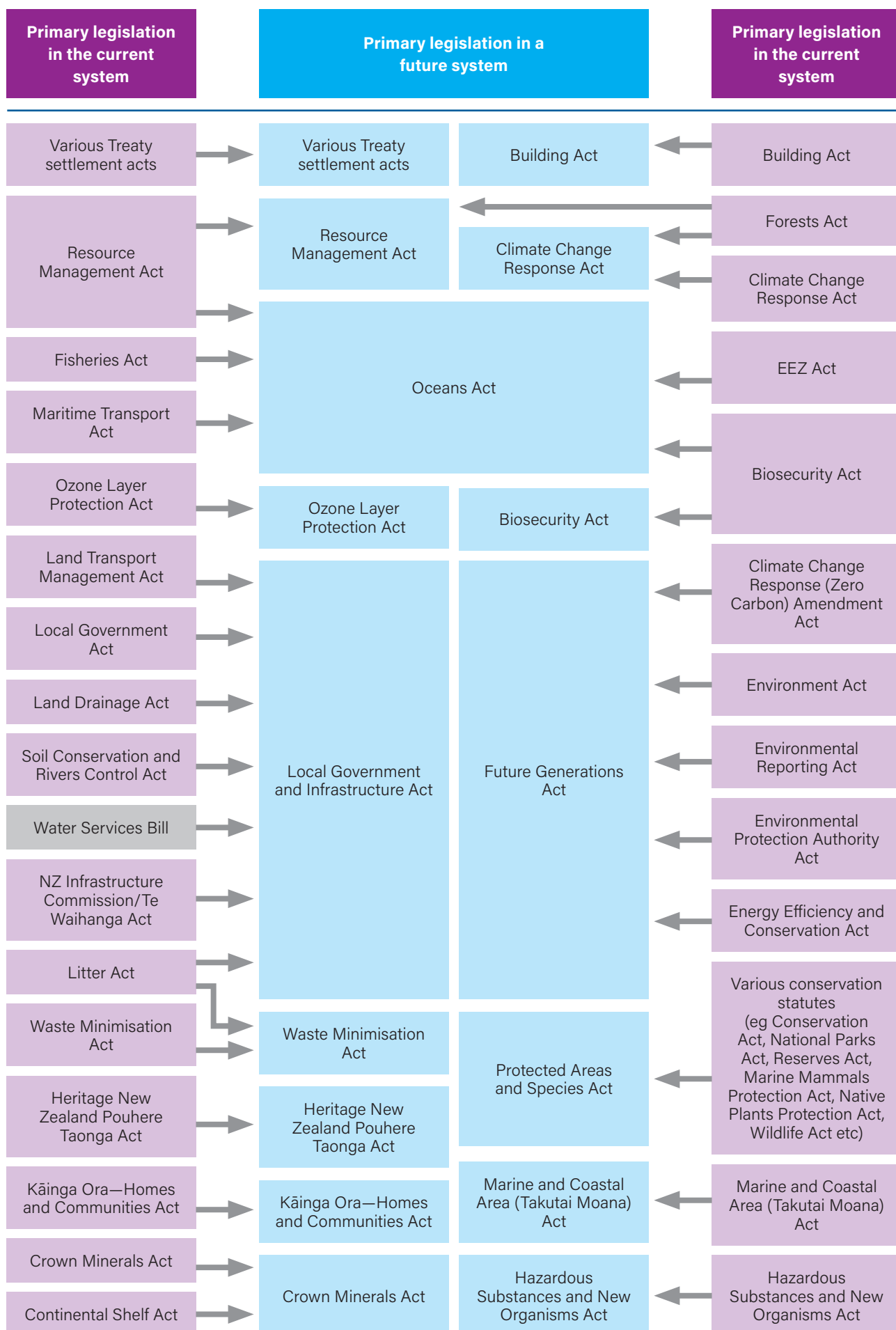


Figure 3: Legislative design: Statutes in the current and future system

checks and balances through institutional design, and we need to enhance the voice of independent institutions.

Central to this is the idea of a standing, independent “Futures Commission”. A Futures Commission would be charged with taking a long-term view and safeguarding the interests of future generations. We are already seeing this type of concern being addressed in a piecemeal way (eg in the idea of a Climate Change Commission, an Infrastructure Commission, and a Chief Freshwater Commissioner). As outlined below, a Futures Commission would take on a number of roles under different statutory frameworks, including the RMA and a new Future Generations Act. For example, it would have a role in reviewing various instruments under the RMA, a role in issuing public authorities a scorecard based on their environmental performance, and a role in futures scanning (looking ahead to identify threats and opportunities). It would be accompanied by a separate Tikanga Commission (or by dedicated tikanga commissioners within the Futures Commission) to provide a tikanga Māori focus.

We see potential, in the longer term, for other independent or arm’s-length commissions to be incorporated within the umbrella of a Futures Commission. Another way of looking at this would be an expansion of, and a more structured role for, the Parliamentary Commissioner for the Environment. It would be most appropriate for a Futures Commission to be an officer of Parliament.

Key points

- We see potential for the establishment of a Futures Commission: a standing, independent institution with structured roles under multiple pieces of legislation. It would be tasked with safeguarding the interests of future generations.

We also see value in other institutions that are more holistic and cross-cutting in their concerns. For example, it makes little sense to take a siloed approach to something like climate change policy, or to give responsibility for it to one particular Ministry. While different agencies are important to provide focus, leadership and accountability, it is troubling that they can pull in different directions on issues that require a common approach. There is considerable potential to make improvements through current state sector reforms.

We are proposing the establishment of a formal, permanent cross-departmental group within central government that would be tasked with providing integrated advice on the resource management system to Ministers and Cabinet. This would be a true, accountable, whole of system steward, comprised of senior officials from various departments and chaired by a senior official from the Department of the Prime Minister and Cabinet. We are calling this a “Futures Group”. It would be complemented by a Futures Commission, in that both would have a system-wide focus, but one would be accountable and the other independent. A proper balance

between those two things will be crucial in the future, as we face environmental challenges that are long term and require a degree of policy stability.

We also propose the creation of various other national level institutions. An “Environmental Water Holder” would represent the public interest in any future trading or auctioning framework for freshwater. A cross-agency behavioural insights group would assist public authorities, including councils, with driving behaviour change on the ground. And an independent, publicly funded “Environmental Defender’s Office” would be charged with taking on public interest litigation. Among other things, it would have appeal rights in relation to notification decisions under the RMA.

Key points

- A future system should see greater alignment and integration of mandates across central government. That would see the formal establishment of a standing, cross-departmental grouping of senior officials concerned with the resource management system as a whole (a Futures Group). In other words, we would have a true whole of system steward.
- In addition, various other national level bodies should be created: an Environmental Water Holder, an independent Environmental Defender’s Office, and a cross-agency behavioural insights group.

Last, but by no means least, we turn to local government. We see a strong case for amalgamation where councils are no longer viable economic units relative to the challenges they face and the populations they draw on. While we are not suggesting *instant* wholesale structural reform of local government across the country, we do see a compelling case for change over time. Scale needs to be embraced for some matters (eg water infrastructure at an expanded regional level), and the transfer or escalation of some functions needs to be progressed (eg stronger enforcement and regulation-making jurisdiction for the arm’s-length EPA). Indeed, central government needs to move into spaces where it has traditionally been absent or weak, especially through active support for the implementation of a coherent package of nationally important environmental limits. We also support an ongoing conversation around how we test evolving communities of interest, and who should be responsible for what. That includes what council boundaries should be.

Our model sees regional cooperation as crucial, and would be consistent with a shift towards regionalisation of council boundaries themselves (eg the merging or rearrangement of territorial authorities). In fact, overall complexity in our model would reduce were that to happen (eg proposals for regional level spatial planning, regional combined plans under the RMA, and jointly owned regional water service providers would become

simpler). We do not comment on exactly what revised council boundaries would look like; such revision is something that must happen in close partnership with communities themselves.

It is also not to dismiss the importance of localism and community ownership and identity. Greater regionalism needs to be pursued for some things where scale and coordination are important, but localism needs to be strengthened for others where there are diseconomies of scale and where community input and engagement is vital. Top-down approaches need to be complemented by bottom-up measures. For example, we are proposing the deployment of citizens' assemblies as part of RMA plan-making, and that concept has wider relevance than under the RMA. We also propose that a clearer definition of subsidiarity be enshrined in the law, recognising that local government is a constitutional partner with the Crown, not an agent of central government. Furthermore, we see merit in the notion of "city deals", whereby bespoke arrangements can be reached for the transfer of some powers (and associated funding) to recognise the needs and opportunities of particular places.

Thus, while conversations about the role of local government often seem to be framed coarsely and pejoratively in terms of council "amalgamation" and "restructuring", the more important thing in our minds is to test where particular functions should be exercised and to build institutional arrangements around them. For example, it would be entirely possible to have

regional unitary authorities for things requiring scale and consistency (eg network infrastructure, strategic growth planning) and for those to be complemented by locally elected boards with clearer functions, stronger powers and more secure budgets. The conversation should focus first on what functions should lie where, not where a council boundary should be drawn. Further work on local government institutional settings should follow resource management reform.

Key points

- We see a strong case for amalgamation of councils where they are no longer viable economic units, and for scale to be embraced (eg for the provision of infrastructure and some regulatory services).
- Stronger cooperation will be vital at a regional level, and that could pave the way for a regionalisation or unitisation of council boundaries.
- We encourage a conversation around that to continue, which must cover territory beyond the scope of the resource management system. That conversation should be framed according to where functions should lie, not around council boundaries or amalgamations per se.

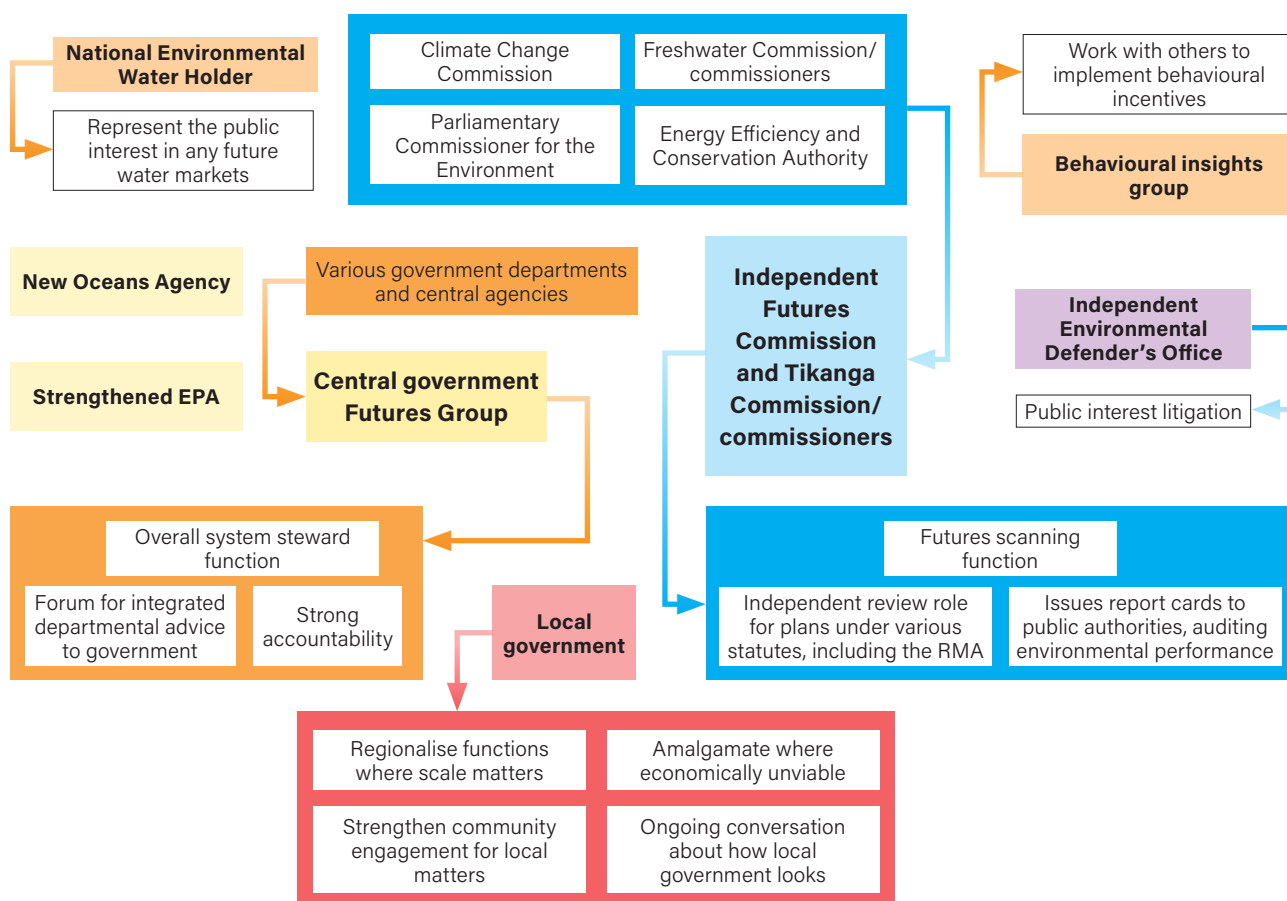


Figure 4: Key institutional settings in a future resource management system

5. A REFORMED RMA

Having described the high level architecture of our model from a legislative and institutional design perspective, from this point we explore the key legislative frameworks we see operating in the future.

In Chapter 5 of the synthesis report, we consider the future of the RMA. While we do not recommend “scrapping” the Act or splitting it along fundamentally different lines (with a partial exception in relation to oceans beyond 3 nautical miles), we do contemplate substantial change to it. Key changes would be to the Act’s purpose and principles (Part 2), planning processes at national and local level, and associated institutional arrangements. The RMA would continue to be the place where allocative issues were addressed in relation to resources protected under it (eg freshwater, coastal space), but it would do so in a more proactive and structured manner than at present.

5.1 A new purpose and principles

We propose that Part 2 of the Act be rewritten, and we provide some potential drafting. We consider that a redraft is required for several reasons, including:

- There needs to be a clearer distinction between matters that require “true” bottom lines and

those that involve balance, as well as a stronger direction about the pre-eminence of bottom lines.

- There needs to be a stronger recognition of the need to enhance the natural environment.
- Climate change mitigation needs to be recognised.
- The language used needs to be more “outcomes-focused” and contemplate active positive change, not “effects based” and responsive to harm.
- Subject to a clear statement of bottom lines, there needs to be greater recognition of the benefits of environmentally sustainable resource use (including considerations of good urban design).
- There should be a stronger statement to give effect to the principles of the Treaty.
- There is the need to provide a stronger normative “hook” for allocative decision-making.

On balance, we consider that the need to drive change through a revised Part 2 outweighs legitimate pragmatic concerns about change (eg risks of losing case law). Drafting would need to be careful to retain aspects on which valuable case law depends.



A new purpose and principles for the RMA¹⁶

Purpose

- (5) The purpose of this Act is to ensure that the environment of Aotearoa New Zealand is sustainably and fairly managed by:
- (a) recognising that use and development must occur within environmental limits, because environmental limits sustain the natural environment and the survival and wellbeing of current and future generations;
 - (b) in accordance with (a):
 - (i) protecting, as a matter of national importance, Aotearoa New Zealand's natural heritage;
 - (ii) protecting, as a matter of national importance, the essential social wellbeing of current and future generations;
 - (iii) mitigating significant risks from, and fostering resilience to, natural hazards including climate change;
 - (iv) subject to the achievement of (i)–(iii), enabling people and communities to provide for their economic wellbeing and resilience, and other aspects of their social wellbeing;
 - (c) giving effect to the principles of the Treaty of Waitangi; and
 - (d) recognising that access to information, public participation and access to justice are key pillars of sound environmental governance.

Natural heritage

- (6) Protecting natural heritage means ensuring that use and development do not compromise:
- (a) Aotearoa New Zealand's contribution to mitigating global climate change in accordance with its international obligations or under relevant legislation;
 - (b) maintenance of indigenous biological diversity, the resilience, life-supporting capacity and intrinsic value of ecosystems, and the enhancement of indigenous ecosystems and threatened species where they have been degraded or depleted by human activities
 - (c) maintenance of the condition and extent of areas of significant indigenous vegetation and significant habitat of indigenous fauna;
 - (d) maintenance of the quality, quantity and flow variability of freshwater in accordance with Te Mana o Te Wai, and the quality of coastal water; and their enhancement where they are degraded such that ecosystem health or human health are not safeguarded;

- (e) maintenance of air quality; and its enhancement where it is degraded such that ecosystem health or human health are not safeguarded;
- (f) maintenance of soil health; and its enhancement where it is degraded such that ecosystem health or human health are not safeguarded;
- (g) protection of attributes of outstanding natural landscapes and outstanding natural features that contribute to their outstandingness; and
- (h) protection of attributes that contribute to the natural character of the coastal environment, wetlands, lakes, rivers and their margins.

Essential social wellbeing

- (7) Protecting essential social wellbeing means:
- (a) ensuring that use and development do not compromise:
 - (i) Aotearoa New Zealand's contribution to mitigating global climate change in accordance with its international obligations or under relevant legislation;
 - (ii) the food and water security of current and future generations;
 - (iii) people and communities' understanding of, connection to, and enjoyment of nature, including through public access to green spaces in urban environments, and to and along the coastal environment and water bodies
 - (iv) the protection of historic heritage.
 - (b) ensuring that the benefits and costs of using and developing natural and physical resources are fairly and efficiently shared between people and communities now and in the future;
 - (c) promoting use and development that minimises waste, consistent with a circular economy and society.

Treaty obligations

- (8) Without limiting section 5(c), giving effect to the principles of the Treaty of Waitangi includes:
- (a) the protection of protected customary rights; and
 - (b) protection and enhancement of the relationship of Māori and their culture and traditions with their ancestral lands, water, sites, wāhi tapu and other taonga.

Exercise of functions and powers

- (8A) All persons with functions and powers under this Act must:

- (a) exercise their functions and powers in a manner that implements the purpose of the Act; and
- (b) adopt an approach by which they:
 - (i) have particular regard to cumulative effects of use and development;
 - (ii) take a long-term view;
 - (iii) take a precautionary approach where effects on the environment are uncertain, unknown, or little understood, but potentially significantly adverse; and
 - (v) promote the alignment of measures under this Act with measures under other relevant statutes;
- (c) take steps to restore and enhance natural heritage and social wellbeing; and
- (d) without limiting (a), have particular regard to and make provision for:
 - (i) the exercise of kaitiakitanga;
 - (ii) the ethic of stewardship;
 - (iii) protection of the habitat of trout and salmon;
 - (iv) the benefits of environmentally sustainable social and economic development, including infrastructure, affordable housing, and a quality urban environment;
 - (v) the efficient use of natural and physical resources;
 - (vi) the finite characteristics of natural and physical resources;
 - (vii) the importance of energy security, and the benefits to be derived from renewable electricity generation.

Key points

- We see room for significant changes to Part 2 of the RMA to, among other things, better provide for environmental bottom lines, implement Treaty obligations, and recognise the importance of good urban planning and design.

5.2 A new approach to national direction

We see considerable merit in changing our approach to national direction under a revamped RMA. We look at this in Chapter 6 of the synthesis report. In particular, we envisage a more proactive and coherent role for central government, alongside a greater role for independent institutions, in how decisions are made. At the moment, the Act does not compel central government to plan or intervene, other than in the context of the coastal

environment. It does, however, *enable* government involvement in a wide variety of ways.

We are suggesting a *requirement*, not just a *power*, for central government to promulgate national direction that gives effect to a revised purpose and principles of the Act. This would mean that matters identified as being of national importance – including where they impose environmental bottom lines – then have an expectation of at least *some* national policy response. This would be accompanied by a clearer definition of subsidiarity, outlining what can reasonably be expected (and not expected) from central, regional and local government. There would be an obligation to set time-bound targets for key areas of environmental wellbeing or improvement, and pre-set trigger points requiring a review or corrective action.

Presently, national direction under the RMA is at risk of misalignment. It is not always clear how different National Policy Statements (NPSs) are meant to work together or influence each other. In other words, we lack a “regional policy statement”-type instrument for the country as a whole. Furthermore, regulatory provisions in a National Environment Standard (NES) can exist in a vacuum, without any clearly associated policies in an NPS. The format and structure of national direction can also look very different, adding to confusion for councils expected to give effect to it. This issue is becoming more pronounced as more national direction is promulgated to target particular problems.

We are therefore proposing that existing national direction (NPSs and NESs) be incorporated, over time, into a single, internally coherent and comprehensive “National Environment Plan” (NEP). There will be gaps to be filled, notably in relation to climate change. In relation to the climate, important links will need to be made between national direction in the RMA and broader climate change-focused instruments like emissions reduction plans and adaptation plans, which are currently provided for under the Climate Change Response (Zero Carbon) Amendment Act. An NEP will be one place in which a nationally coherent approach to mitigation and adaptation could usefully be implemented. National Planning Standards would remain separate, but would have no substantive content and would standardise the format of both council plans *and* national direction.¹⁷

Transitional arrangements leading to an NEP would be crucial. We do not want to lose much of the valuable work that has been done to create national direction over the past decade, including processes that are underway (eg see the recently released discussion document on an NPS for Indigenous Biodiversity). That is particularly important for national direction that imposes firm environmental limits.

We are suggesting a process for producing and reviewing an NEP that in some ways resembles the current process for creating national direction. However, there would be greater involvement for Māori and councils in co-production, and a review function for the new, independent Futures Commission described

earlier (and the Climate Change Commission, if it were to remain separate). We do not, at least in the short to medium term, suggest allowing merits appeals on an NEP to the Environment Court.

A strengthened role for the EPA in setting aspects of national direction should also be considered closely. While Ministers should retain responsibility for establishing objectives and policies (the NPS-style element of an NEP), as well as most regulatory provisions (the NES-style element of a NEP), for some things (especially freshwater) there is a case to be made for minimum standards to be set by a more independent agency with a firmly protective mandate.

In Chapter 6, we also propose the strengthening of water conservation orders, and the deployment of other, similar types of order. In particular, we float the idea of a “Heritage Area Order”, which would be designed to provide a more nuanced layer of landscape and biodiversity protection over private land. Other orders, to address environmental “emergencies” (particularly degraded environments) could also be developed along similar lines.

Key points

- We propose the gradual creation of a single, integrated piece of national direction under the RMA: a National Environment Plan (NEP).
- There would be a new process for creating and reviewing an NEP, including a role for an independent Futures Commission, and we see a case for the EPA to have a stronger regulatory role for some things like freshwater.
- National Planning Standards would remain separate, but would apply to national direction as well as council plans.
- We also suggest the deployment of a wider range of “order”-based tools, modelled on the concept of water conservation orders.

5.3 A revised approach to council planning

In Chapter 7 we look at local government planning under the RMA. National direction would not apply to everything in a future Act, and the system would not be a centralised one. A greater and more coherent role for national direction would simply recognise that nationally important matters require a degree of central government input. Again, a future system could more clearly define what subsidiarity means (which things are to be locally or centrally decided or influenced, and for what reasons). But much will be left to local government, for two reasons: (1) nationally important outcomes (eg general policy direction) may still require specific local expression (eg through regulation); and (2) some things will be of purely local, not national, concern (eg urban place-making).

Of course, there are questions as to what “local” should mean when we think about local government boundaries, and we touched on this earlier in the context of institutional design. Overall, we see room for greater cooperation and integration to occur at a regional level, and that would include plan making under the RMA.

Plan making under the RMA also needs to be more agile. Plans must respond to new threats and rapidly changing biophysical and social contexts. However, reforms need to balance the desire for more timely outcomes with the need for robust decision-making and meaningful public involvement. That suggests to us the desirability of having a single-stage hearings process for plans, or at least a truncated two-stage process. This revised approach should not be limited to particular contexts like urban growth or freshwater, as such carve-outs add complexity to the system and the need for agility applies across the board.

We consider that communities should be more involved in co-creating plans at their earliest stages, not just responding to a notified plan through submissions and appeals. A future system could usefully formalise the deployment of citizens’ assemblies in plan development. Iwi and hapū (the institutional nature of which we think could be more clearly defined) would also be closely involved in plan leadership and co-production, not just consulted or engaged with.

There would still, however, be a need for a formal hearings process. One option would be to adopt a variant of the Auckland Unitary Plan model (Option 1). Here, multiple councils (in collaboration with Māori and others) would work together to produce a single proposed combined plan for a region (incorporating both regional and district instruments). Merits appeals to the Environment Court would be constrained by whether councils accepted or rejected the recommendations of the standing, independent Futures Commission mentioned earlier. In other words, the Commission would perform a role comparable to that of the Independent Hearings Panel of the Auckland Unitary Plan process.

Another option would be to have a single-stage hearing by a “hybrid” institution (Option 2). This hybrid institution would combine representatives from the Environment Court, commissioner(s), council and iwi/hapū. There would be no integrated combined plan across a region (unless local government itself were to be unitised), although councils would be encouraged to work together across boundaries. Appeals from the hybrid panel’s decisions, to a separate appellate division of the Environment Court, would be limited to points of law.

Both of the options outlined above have positive and negative features. We think that a useful direction of travel could be to adopt both, but in different circumstances. Option 1, involving a wide ranging independent review from a standing Futures Commission and the ability for constrained appeals to the Environment Court, could be used as a robust process for “resetting” multiple existing plans under a reformed RMA at an integrated, regional

level, in a similar way that the Auckland Unitary Plan “reset” the planning environment in Auckland. It could also be used for periodic whole of plan reviews, and where significant plan changes were escalated on the initiative of the responsible Minister or the Futures Commission itself (a form of “call-in”).

Option 2, involving a single-stage hybrid decision-making panel, would be used as a process for other plan changes. Careful consideration would have to be given to the relative membership of such panels, especially the balance of independent and accountable members and Māori and non-Māori members. A third option for changing council plans in the coastal environment, which would be designed to give more direct effect to a marine spatial planning process, is discussed below in the context of an Oceans Act.

It would be vital to have a level of regional strategy sitting above, or embedded within, council plans. However, there is a question over whether this should be in a purely RMA instrument (a regional policy statement) or a broader regional futures strategy produced under a separate Future Generations Act (see below). If both were to exist, they could be duplicatory. We leave that as an open question.

Regional combined plans would continue to contain both policy provisions and regulatory provisions (eg rules and standards). It is essential for policy-making functions to remain with accountable local government members, elected on behalf of their communities to make such value judgements. However, we see merit in providing a stronger role for the EPA to develop some regulatory elements of

plans, especially where they are necessary to give effect to policy in national direction. Freshwater would be a good example, but there may be other areas in which the EPA could have a stronger role (eg biodiversity protections). In some cases, this might involve a transfer of regulatory functions for a period of time until performance or capacity could be improved, rather than a permanent removal of functions from local government. There should be stronger safeguards and criteria around when such transfer powers could be used.

Key points

- We propose revising council planning under the RMA to involve a single-stage hearing process (or a truncated two-stage process).
- A feasible way forward may be to use a robust Auckland Unitary Plan-style process to “reset” plans at a regional level under a revised Part 2 (and to periodically review plans), but to use a more streamlined “hybrid” panel model for plan changes.
- Combined plans should be created in a cooperative manner (including with iwi and hapū) at a regional level, even if extensive local government restructuring did not occur.
- For some things, we see a case for regulation-making responsibility to be given to a strengthened EPA, on a temporary or permanent basis.



5.4 Consenting and compliance

In Chapter 7 we also consider consenting and compliance under a reformed RMA. While we recommend change on a number of fronts, we remain unconvinced that removing merits appeal rights in relation to resource consent decisions is the answer. In relation to consenting, we suggest that:

- A future system should provide greater predictability by focusing effort at the planning stage and relying less on the discretionary weighing of general (and potentially conflicting) policies through consenting decisions. The solution is not greater use of permitted activity standards. Instead, greater predictability could be provided by the use of more specific, hierarchical policies, default minimum consent conditions for particular activities, and stronger use of prohibited activity status and moratoria.
- A robustly independent, publicly funded statutory Environmental Defender's Office should be charged with taking on public interest litigation, and have standing to appeal councils' notification decisions to the Environment Court.
- A new notification status could be introduced, whereby a proposal is publicly notified and submissions invited, but no appeal rights follow (or they follow only for an Environmental Defender's Office).
- A future system should provide for an integrated permitting process (a "project consent") for complex or nationally significant projects, which would align permitting process under multiple statutes.
- Resource consent decisions should be required to be at least "consistent" with national direction, not just "have regard" to it.
- Restrictions on councils considering the impacts of activities on climate change when assessing consent applications should be removed or amended.
- Jurisdiction for consenting decisions could be removed from elected members, or restricted, in favour of independent commissioners, council staff, and the Environment Court.
- A pool of nationally accredited independent commissioners should be established under the auspices of an independent Futures Commission or the EPA, to be deployed upon council request.
- An independent Futures Commission should be provided with a power to call in matters of national significance alongside the Minister for the Environment.
- The option for Boards of Inquiry to be appointed to consider consent applications should be removed (with direct referral to the Environment Court retained).

- There should be a greater role in consenting for the EPA for some matters (eg freshwater), to complement a stronger regulatory role for the EPA under national direction and combined plans. Again, however, there should be clear criteria and constraints around when transfer of powers to the EPA can be used.

We also propose a range of changes in relation to compliance monitoring and enforcement, notably:

- Standardising approaches or minimum requirements (eg through national direction or regulations).
- Broadening the range of penalties available under the RMA for non-compliance.
- Strengthening the ability to decline or revoke consent in the event of persistent non-compliance.
- Formally removing enforcement decision-making from elected councillors.
- Strengthening the enforcement role of the EPA (broadly in line with proposals in the latest amendment bill to the RMA).
- Providing greater guidance about when it is appropriate for the EPA to initiate or intervene in enforcement action.
- Giving the EPA an oversight role over enforcement activities by councils (and potentially other agencies).
- Including compliance monitoring and enforcement activity in environmental reporting.
- Achieving greater cost recovery for the monitoring of permitted activities.

Key points

- A number of settings should be revised for consenting and compliance monitoring and enforcement under a reformed RMA.
- More predictability should be provided in plans, reducing the need to rely on extensive arguments and discretion in consenting decisions.
- We do not recommend removing appeal rights in relation to consenting decisions.
- The EPA should be given a stronger role for consenting and enforcement, but there should not be a blanket removal of those functions from local government.
- Appeal rights in relation to notification decisions should be given to a robustly independent Environmental Defender's Office.

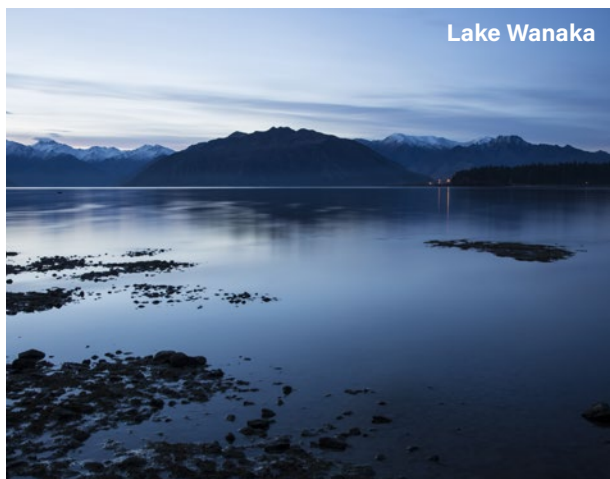
5.5 A more structured and principled approach to allocative issues

We consider that a future system will need to approach allocative questions in a much more proactive and courageous way than in the past, especially under the RMA. That is particularly important in the context of freshwater (both abstraction of water and the use of its assimilative capacity). Most urgent is the need to reduce total allocation where environmental limits have been exceeded, and (failing consensus through collaborative processes) to provide a regulatory mechanism for the relative reductions of existing uses to be determined and enforced. That will require the development of allocative principles, both through a revised Part 2 of the RMA and in national direction.

Yet at some point in the near future we will also need to grasp the nettle on questions about reallocating rights, not just to meet environmental limits but also to meet concerns about fair distribution. The current landscape of rights has emerged in an ad hoc way where questions around fairness have not really been considered, largely based on who has applied first and an expectation that rights will continue in perpetuity. Relying only on a first in, first served model will not be good enough in the future, and there should be no general expectation of grandfathering based on existing or historical use (although reforms will need to be sensitive to issues of fairness in any transition). Of course, looming large over all such questions are issues of Māori rights and interests.

There are no clear answers to allocative questions, and they will need to be explored in depth through the government's ongoing freshwater programme over the course of 2020 and beyond. However, we see merit in having a more structured approach for allocating new freshwater abstraction rights (including where existing consented rights expire). We suggest a potential way forward, involving the allocation of two separate tranches of rights:

- (1) A regulatory allocation (to fulfil Treaty obligations, to allocate to public important uses, and to allow communities a degree of control through an attribute weighted tendering process)



- (2) A purely economic allocation above regulatory allocation (eg auctioning)

To the extent that market mechanisms were to be adopted in the allocation and reallocation of water rights (auctioning and trading), a publicly funded Environmental Water Holder should be established to operate in markets (buy and sell water rights) to pursue public interest outcomes. Over all of this, the system will need to provide for issues of Māori rights and interests in freshwater to play out, and to provide a pathway for those outcomes to be implemented. It is hard to predict what shape that will take. A more consistent approach to resource rentals should be deployed over time (including for freshwater), and implications for Māori interests need to be closely considered here too. An option would be for a portion of a rental to be directed to Māori for use in environmental restoration activities as kaitiaki, and a portion to be directed to councils for similar purposes.

We see significant merit in water trading being deployed more in a future system. The use to which our water is put needs to be fairer, more efficient and more responsive to change once it has been allocated initially. However, we do not see it as a complete replacement for a more structured regulatory approach to allocation, and we need to be careful to counteract the potential social and environmental impacts of trading (eg the potential for the corporatisation of water rights in water barons, financial speculation, and localised ecological impacts).

Key points

- Allocative issues need to be addressed more directly in a future system, particularly for freshwater. The law needs to provide for common allocative principles, including through national direction.
- A reduction in existing freshwater “rights” is urgent in overallocated catchments, and where collaborative processes are not likely to succeed, a regulatory backstop is required.
- A more structured approach to allocating new rights, and for reallocating rights upon the expiry of existing consents, should be implemented where scarcity is reasonably foreseeable.
- This could involve a portion of regulatory allocation (eg through attributed weighted tendering) and a portion of “economic” allocation (eg through auctioning).
- Trading should be closely considered where appropriate, subject to careful constraints.
- A nationally consistent approach to resource rentals should be deployed over time in a way that is fair.
- Across all of this a reformed system will need to offer pathways for issues of Māori rights and interests to be addressed.

6. A NEW STRATEGIC STATUTE: THE FUTURE GENERATIONS ACT

Overarching the RMA, as well as other resource management “implementation” statutes, we envisage the enactment of a new “Future Generations Act”. We consider this in Chapter 8 of the synthesis report. The Act would form something of a “constitution” for the environment, and would do two key things:

- (1) Provide a broad set of principles and duties to apply to public decision-making
- (2) Provide for a strategic (and spatial) planning process that would flow down into more detailed decision-making frameworks. As mentioned earlier, one aspect of that would be to coordinate land use planning and infrastructure planning/funding for urban growth, through regional (or cross-regional) spatial plans.

6.1 General principles and duties

A Future Generations Act would have a broad purpose statement that would, among other things, recognise the pre-eminence of bottom lines set under other frameworks (including, but not limited to, the RMA). It could also provide recognition of general moral rights for nature (and associated government responsibilities in relation to nature). It would provide a degree of stability for any future reforms to more targeted frameworks, to prevent the system’s overall coherence from eroding over time. Any legislative amendments would need to be assessed against the purpose of the Future Generations Act, in a way not dissimilar to the Bill of Rights Act 1990.

We also envisage that the Act would contain common decision-making principles or duties that would apply to all public decision-making, not just when making decisions under specific “protective” statutory frameworks like the RMA. For example, climate change mitigation and adaptation are considerations that need to cut across and permeate all decisions, whether they have a specific statutory basis or not. It would ensure that the environment and the wellbeing of future generations were closely considered in decisions relating to investment, procurement and non-statutory plans and programmes.

We also suggest the establishment, in the Act, of a whole of system steward within government (the Futures Group mentioned earlier), comprised of high level officials from relevant departments and Crown agents and chaired by a senior official from the Department of the Prime Minister and Cabinet. This standing group would allow officials to speak with one voice to Ministers and Cabinet, or at least for differences in perspective across departments to be highlighted and addressed. Alongside this accountable government body, an independent one – a Futures Commission (and Tikanga Commission/commissioners)

– would act as an independent watchdog over the whole of the system. It would issue public authorities, and the government as a whole, with a scorecard on a periodic basis. This would assess the government’s performance against the purpose and principles/duties in the Future Generations Act and in light of the results of environmental reporting, and be tabled in Parliament prior to a general election. Effectively, it would be a form of environmental audit on which voters could ruminate when going to the polls. The government would be required to respond.

An audit would be about reviewing past performance, but the Futures Commission would – consistent with its name – also be about looking forward. It would have a “futures scanning” role, periodically identifying and reporting on threats and opportunities, and producing reports to which the government would be obliged to respond. The Futures Commission could, eventually, be merged with other robustly independent watchdog-type institutions such as the Parliamentary Commissioner for the Environment and Climate Change Commission. Alternatively, it could be seen as an expansion of the existing Parliamentary Commissioner for the Environment.

A Future Generations Act would also impose a stronger general duty on people to protect or even enhance the environment (although care would need to be taken here), and could be a place where directors’ environmental duties were strengthened (alternatively, that could done in the Companies Act 1993). In the longer term (as already described), we are attracted to the idea of further integrating existing legislation into a Future Generations Act to the extent that it is about the whole of the system. That could include the Environmental Reporting Act, the Environmental Protection Authority Act, and the Environment Act.

Key points

- A Future Generations Act would sit above other legislative frameworks, and provide for a broad, constitutionally important set of principles and duties to apply to public decision-making.
- The Act would establish an independent Futures Commission and a whole of system government steward (a Futures Group).
- It would provide for the Futures Commission to audit and report on the environmental performance of public authorities in the form of a periodic scorecard, and task it with scanning the future for threats and opportunities. The government would be required to respond to both.

6.2 Strategic spatial planning in a Future Generations Act

The second function of a Future Generations Act would be to provide a statutory basis for strategic spatial planning at national and regional levels. There would be a cooperative process for producing a “National Futures Strategy”, with its spatial expression in a “National Spatial Plan”. Māori would be closely involved in co-creation. At a regional level (and cross-regional level), there would be a comparable process for creating futures strategies and associated regional spatial plans. There would be a strong role for the Futures Commission in both.

These instruments would not be directly binding in a regulatory sense. However, they would have real legal influence on decision-making under more targeted frameworks (eg the RMA and a Local Government and Infrastructure Act). We do not think it would be feasible for strategies and spatial plans to be *given effect* to in these other statutes – and for good reason: Acts like the RMA have their own specific purposes and processes to work through. For example, lower level RMA plans must still be required to give effect to national direction in the event of conflict with a spatial plan. But a reasonably strong legal direction should be put in place to ensure strategic planning is worth doing. One option would be for spatial plans to be given effect to *unless there were good reasons not to*. “Good reason” could be defined to include inconsistency with the purpose of other frameworks (eg bottom lines set under the RMA).

Regional and cross-regional spatial plans would be particularly important to manage rapid urban growth, where (as mentioned earlier) alignment is required between the land use components of RMA instruments and the infrastructure planning and funding components of other legislation. For example, a spatial plan with real legal influence would be useful in coordinating various agencies’ functions and activities when planning integrated urban growth and transport development between Auckland, Hamilton and Tauranga. But they would be useful in other contexts too; for example, as a mechanism to coordinate actions across multiple statutes, institutions and tenures to create a drylands protected area in the Mackenzie Basin.

Futures strategies and spatial plans should also, from the outset, be accompanied by a description of anticipated costs, and where funding is envisaged to come from. A vision in a spatial plan that relied on significant sums of money should not fall over later because there was no real plan for where the money was going to come from. This could still be of a general nature, however; we want a vision to be realistic, but we do not want its ambition to be overly constrained by having to secure specific sources of funding in advance. Water clean-up costs, for example, can run into the millions or billions of dollars, which could not realistically be earmarked in advance.

The other important thing to note here is that a national strategy and spatial plan would not be binding on regional ones as a matter of law. They would be integrative *within*

each level of government, not hierarchical *between* levels of government. A National Spatial Plan should not, for example, be a back door for central government to influence decision-making by councils under the RMA – the appropriate routes for that would be contained in the RMA itself. That would be supported by a clearer definition of subsidiarity.

However, if all partners in the spatial planning process agreed, there would be a case for them to be obliged, to some degree, to follow through. That might be necessary, for example, to implement a spatial plan coordinating urban growth (where expensive infrastructure may be involved) or providing for climate change adaptation (where it would be crucial for central and local funding contributions to be aligned).

As mentioned earlier in the context of the RMA, it would be possible to replace regional policy statements under a revised RMA with regional futures strategies created under a Future Generations Act. Otherwise, there may be concerns that the two would be too duplicatory. This would, however, have its risks, in that regional futures strategies would contain a wider and more balanced range of matters than a regional policy statement. An alternative would be for a more focused regional policy statement under the RMA to remain, and be given effect to in a regional futures strategy.

Finally, national level spatial planning would not be about giving central government greater powers. It would be about coordinating the use of existing powers, including under specific statutory frameworks, towards a more joined-up end point. It would certainly not be an opportunity for a government to override environmental considerations in other statutes, and safeguards in the Act would make this clear.

Key points

- A Future Generations Act would provide for integrated strategic and spatial planning at national and regional levels.
- Futures strategies and accompanying spatial plans would not be binding, but would have strong legal influence over decision-making under other regimes.
- Regional (or cross-regional) spatial plans would be particularly important to align land use and infrastructure planning under the RMA and a Local Government and Infrastructure Act in the context of urban growth, but would not be limited to that context.

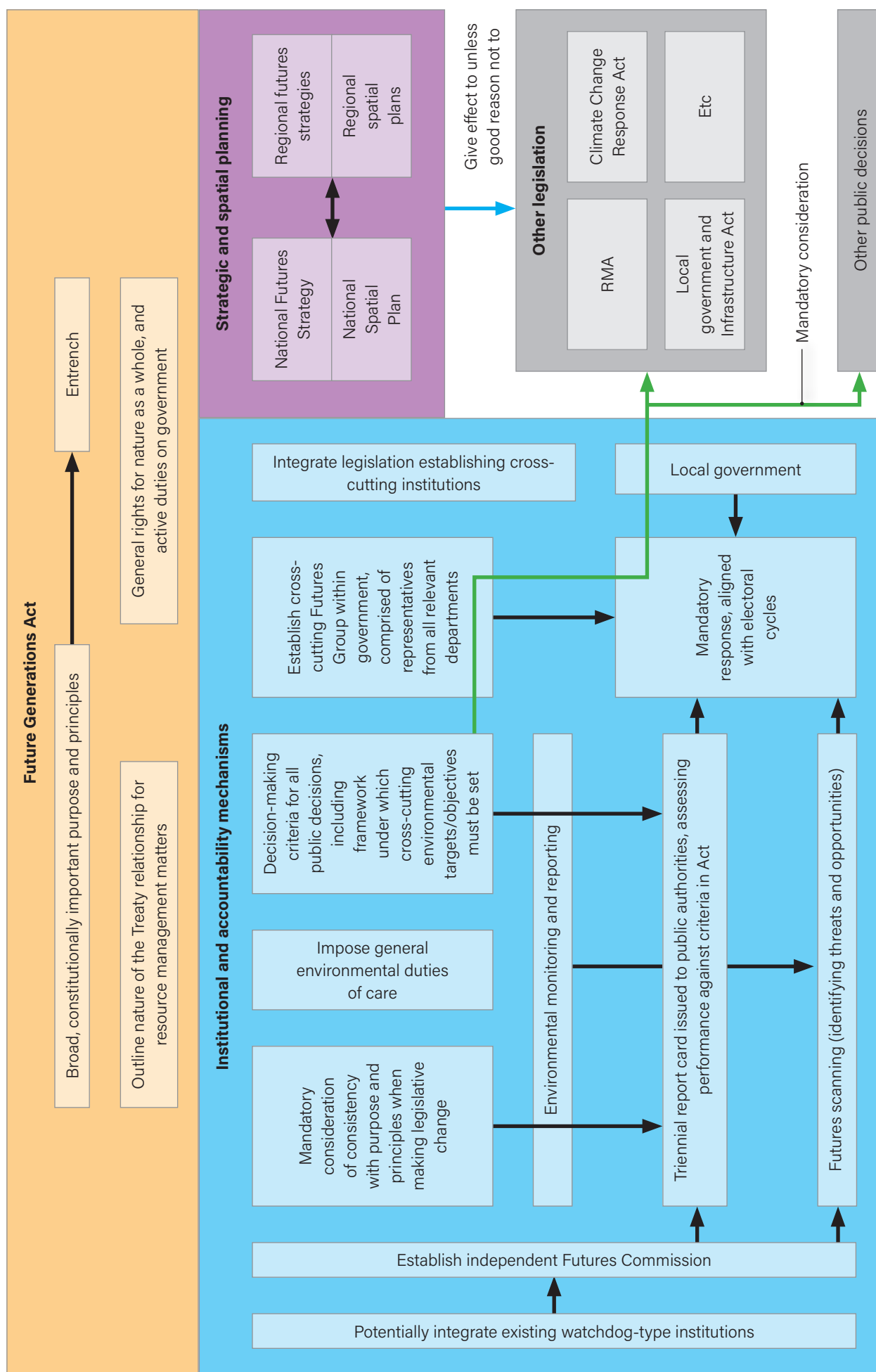


Figure 5: Key components of a *Future Generations Act*

7. CLIMATE CHANGE

Climate change will need to inform almost all decision-making in a future resource management system. As foreshadowed earlier, we see potential for the “strategic” elements of climate change legislation, contained in the recently enacted Climate Change Response (Zero Carbon) Amendment Act, to be integrated into a Future Generations Act. Emissions reduction plans and adaptation plans would be contained in a National Futures Strategy, and expressed in an associated National Spatial Plan. They would have real legal weight.

A strengthened purpose and principles for climate change action (including seeking overall carbon neutrality by 2050), and the target and budget setting/review process, could also be integrated into the Future Generations Act framework. Furthermore, we see room for stronger enforcement mechanisms for a failure to achieve climate change targets and budgets. And, in the longer term, we would suggest giving close consideration to integrating the Climate Change Commission into a broader framework of a Futures Commission.

Climate change would also need to be a significant driver of regional spatial planning, particularly in the context of adaptation, managed retreat, and infrastructure investments, and would need to flow through meaningfully into other frameworks (especially land use planning under the RMA). It would also make some sense for a new “Climate Change Adaptation Fund” – which we see as vital – to be established and managed in a strategic way under the Future Generations Act.¹⁸ Elements of the emissions trading scheme will need to be strengthened,

and we see promise in ramping up the deployment of novel financial tools and strengthening frameworks for corporate disclosures and directors’ duties.

An important theme of the synthesis report, however, is that particular issues should not be thought about in siloes. That includes climate change. There are many synergies to be pursued, particularly the co-benefits for climate change mitigation, ecological resilience, biodiversity enhancement, and freshwater quality that would emerge from greater indigenous planting.

Key points

- We see potential for the strategic elements of climate change response in the Climate Change Response (Zero Carbon) Amendment Act to be integrated into an overarching Future Generations Act.
- From there, climate change mitigation and adaptation plans would have real legal influence over decision-making under multiple other frameworks, including the RMA.
- Change is also required to the emissions trading scheme, and other novel tools should be deployed.
- A new Climate Change Adaptation Fund should be established and deployed on a strategic basis at a national level.
- Synergies need to be pursued between climate change goals and wider environmental aims.



8. OTHER LEGISLATION FOR THE BUILT AND URBAN ENVIRONMENTS

In the model we are floating, many statutory frameworks will be relevant to the management of built or urban elements of the environment. The RMA and the Future Generations Act (especially in its provisions for regional spatial planning) would be among them, and we explore those aspects in Chapters 5–8 of the synthesis report. In particular, the RMA needs to provide for quality and environmentally friendly urban intensification rather than facilitating unchecked, car-dependent urban sprawl, and better reflect urban planning principles in Part 2. However, there is a need for an additional layer of legislation, primarily to ensure that certain public goods and services – notably three waters and transport – are planned for and delivered effectively and efficiently. That is well beyond the remit of the RMA, and is currently performed under local government legislation and the Land Transport Management Act. In Chapter 10, we consider this layer of legislation.

Alongside robust strategic and spatial planning, we see a strong case for further aligning decision-making processes under more targeted statutes that would implement it. In particular, land use planning and infrastructure funding should occur in a more connected manner, and along timeframes that are more coordinated.

To facilitate greater alignment, we have suggested integrating the Local Government Act and Land Transport Management Act (and other relevant legislation) into a Local Government and Infrastructure Act.

Frameworks for the delivery of public infrastructure and services are intimately related to the ways in which those things are funded. That raises broader questions about how responsible institutions raise revenue. For example, three waters services are currently provided and funded largely by councils through processes under the Local Government Act (and related statutes), giving rise to questions about how councils raise revenue and finance their activities. In short, we are suggesting the following.

- Environmental considerations within development-focused legislation (including a Local Government and Infrastructure Act, the Building Act, and a proposed Urban Development Bill) would be strengthened and aligned with imperatives in a new Future Generations Act, including to reflect climate change.
- Regulation of the three waters sector, for both health and environmental reasons (in particular, wastewater and drinking water), would be



Coromandel Coast

strengthened, consistent with measures being proposed in the government's three waters review.

- We see merit in deploying jointly owned council-controlled organisations (CCOs) at a regional level for the planning, funding and delivery of drinking water and wastewater infrastructure and services. A "regional" level would not necessarily reflect the current boundaries of regional councils, and may well be wider (or just different).
- A CCO model could be altered by allowing for the Crown to be a partner in these organisations alongside local government, reflecting the considerable Crown funding commitment that may be required in some places.
- An economic regulator would be created (which could be a new institution like the Futures Commission or an existing one like the Commerce Commission) with responsibility to ensure that investment levels and pricing in water services were sufficient and fair when looked at from an inter-generational perspective.
- We see a continued role for central government, through the New Zealand Transport Agency (NZTA), in co-funding local transport infrastructure through the Land Transport Fund.
- A conditional reform may be the deployment of regional CCOs (alongside the NZTA) for land transport planning and delivery, although such CCOs would continue to require council funding.
- A greater focus on regionalising key functions might lead to regionalisation of local government units over time, as long as there were strong mechanisms for retaining truly local decision-making at a more devolved level. As mentioned earlier, this conversation needs to be focused on which functions we locate where, not simply redrawing the boundaries of existing institutions.

Key points

- We see potential in the deployment of regional level CCOs, with a degree of Crown support, for the delivery of drinking water and wastewater services (and potentially transport infrastructure).
- That should be accompanied by the introduction of an economic regulator, with responsibility to ensure that investment levels and service pricing were sufficient and fair (especially for water services).
- We see merit in integrating the Local Government Act and Land Transport Management Act into a single Local Government and Infrastructure Act, with planning processes under that Act and the RMA more closely aligned.

To complement institutional and legislative change for the built environment, reform is needed to underlying funding mechanisms. Here, we largely echo the recent findings of the Productivity Commission. We see a strong case for expanding funding and financing tools to address issues in the built environment (including rapid urban growth, tourist pressures, and the replacement or upgrade of infrastructure). In particular:

- There should generally be greater deployment of user-charging (including volumetric charging for water and wastewater) where appropriate.
- Where users cannot be charged directly, proxy measures should be available (eg an accommodation/bed tax to address tourist pressures).
- Predictable, need-based central government contributions should be forthcoming where required (eg to upgrade or replace water infrastructure to meet national standards).
- Value uplift capture mechanisms should be deployed to capture some of the private financial benefit that arises from public investments in infrastructure.
- There should be further deployment of special purpose vehicles to finance growth where councils are nearing their debt limits.

However, user-charging should not be deployed without close consideration of regressive effects on the poor or vulnerable. Adequate funding is important, but transport and water infrastructure are still public goods to which people should have access.

Overall we agree with the Productivity Commission that the way forward is to expand our funding and financing toolbox, not replace it. Rates remain a stable, predictable source of revenue for councils, and should remain core to a future funding model. However, it remains that funding sources can provide powerful incentives to invest in certain ways, or to underinvest. The incentives provided by over-reliance on rates, combined with other constraints (eg debt ceilings), require correction. Notably, this has contributed to constraints on developable land in areas of high urban growth, putting further pressure on housing affordability.

We therefore see merit in including in a future toolbox the ability to levy a local GST, or at least for that option to be explored further. The prospect of reaping the financial benefits of investment in growth or tourist infrastructure, rather than just facing the financial or political costs, would be a positive incentive on councils to invest, and easier to sell to constituents. It would also recognise the independent nature and fiscal autonomy of local government when compared to solutions based on central government grants.

However, we need to be extremely careful that powerful financial motivations for councils to grow and develop – to

build – do not in practice lead to perverse incentives for environmental outcomes. New development is essential to provide housing supply, but it must be done in a way that respects an envelope of true environmental limits. Councils wear quite different hats here, reinforcing the need for strong regulatory safeguards to be put in place under the RMA and Future Generations Act.

Key points

- The funding incentives and constraints provided by the current system in the context of urban growth, tourism pressures and ageing infrastructure require correction.
- Targeted measures to shift the costs of infrastructure onto those who benefit will help (eg a bed tax, grants from central government, value uplift capture).
- We also see merit in allowing councils to levy a local form of GST, which would provide incentives for funding growth while allowing communities more control. That cannot be a complete replacement for rates, but would be a useful addition to the toolbox and allow communities greater choice.
- Safeguards are needed to ensure that powerful financial incentives for growth do not undermine the envelope of environmental limits within which development must occur.

In Chapter 10 we also consider the place of the Building Act, concluding that construction standards should remain in a separate statute (and Code). However, these (and infrastructure standards) should be strengthened to recognise the essential contribution that “green” construction will make to environmental outcomes in a future system, including in relation to climate change, waste, freshwater, biodiversity and energy efficiency. Stronger links need to be made with the urban planning system under the RMA.

Finally, we see a place for an urban development authority, under bespoke legislation, to form part of a future system. An urban development authority is an arm’s-length public entity that would be responsible for planning, funding

and delivering urban development within a spatially defined project area. The government has now enacted a bespoke legislative framework to create this entity – called Kāinga Ora – Homes and Communities – and defined its general roles, but it has yet to legislate its specific powers to override other statutes. This is expected shortly (in the form of an Urban Development Bill), and all indications are that powers will be substantial, including powers to override the RMA.

The proposition for an urban development authority would look very different in our preferred model. In particular, we suggest that targeted legislation would need to:

- Clarify that a strengthened Part 2 in the RMA remained the primary test for decision-making when exercising powers under that Act.
- Not include powers to override provisions of council plans that do not relate to the land use or subdivision functions of territorial authorities.
- Treat regional councils more like territorial authorities and require their agreement up front to establish a project.
- Build key environmental protections – and enhancements – into strategic objectives when a project is established.
- Emphasise that national direction under the RMA (an NEP) would, as elsewhere, need to be given effect to.
- Clarify that a project is a way to implement a regional spatial plan made under the Future Generations Act, not an excuse to override it for a narrower purpose.

Key points

- The Building Act should be strengthened to contribute to positive environmental outcomes.
- Dedicated urban development legislation is probably necessary in a future system as a backstop measure, but should be significantly amended from the current proposal in the interests of environmental wellbeing.

9. A NEW OCEANS ACT

We are floating the idea of a separate legislative framework for oceans management – an “Oceans Act”, which we describe in Chapter 11. There has been a complex history of oceans management in New Zealand, resulting in a patchwork of legislation targeting different things. Much is no longer fit for purpose, and

a more integrated approach to oceans management is needed. The marine environment is quite different in character from the terrestrial environment and needs to be managed in different ways. In particular, jurisdictional boundaries do not always reflect the interconnected nature of the marine environment.

In a future system, regional councils would continue to have jurisdiction over truly coastal matters, out to a 3-nautical-mile boundary (which would be mapped on ecological grounds). This would reflect the need to have integrated management of catchments and coasts, and the RMA would continue to apply there. Other parts of the marine area would be managed by a well-resourced, dedicated “Oceans Agency”. This would be the operational agency for the Oceans Act, and operate at arm’s length from the government. Alternatively, a strengthened EPA could take on this role. Either way, Māori input into decision-making by the Agency would be strengthened.

We see a case for integrating most existing legislation relevant to the marine area – including the EEZ Act, Fisheries Act, Maritime Transport Act, aspects of the Biosecurity Act and aspects of the RMA – into a single Oceans Act. We also think there is strong case under a new Act for rationalising and strengthening the currently fragmented policy and planning framework for oceans. At the top of the planning hierarchy would be an integrated “Oceans Plan”.

Conservation legislation would remain separate, and that would include marine components of conservation (eg marine protected areas, marine mammals protections etc). While links between an Oceans Act and conservation legislation would need to be strong, on balance we see greater benefits in having separate conservation legislation integrated across marine and terrestrial contexts (especially given the migratory nature of some species).

A National Futures Strategy and National Spatial Plan, described in Chapter 8, should have a strong oceans component within them. Furthermore, alongside the regional futures strategies and spatial plans discussed in that chapter could be a more targeted process for regional *marine* spatial planning. Marine spatial plans would flow through into decision-making under various “implementation” frameworks, including an Oceans Act, the RMA, and integrated conservation legislation. As foreshadowed, there could even be a more direct process for marine spatial plans to be implemented, involving a collaborative process and decision by the Environment Court.

Key points

- A new Oceans Act would apply (for RMA-type functions) beyond 3 nautical miles from land, and integrate multiple pieces (or aspects) of existing legislation (including fisheries, biosecurity, maritime transport and EEZ protections).
- An Oceans Act would provide for a robust planning process centred on an Oceans Plan. This would be administered by a dedicated Oceans Agency.
- Marine spatial planning would occur under a Future Generations Act, but could have a more direct route to implementation under regulatory frameworks like the Oceans Act and the RMA.

10. NATURE CONSERVATION: A NEW PROTECTED AREAS AND SPECIES ACT

In Chapter 12 we consider the place of conservation legislation in a future system. We make a number of suggestions for comment and further discussion. Central to these would be the integration, over time, of our fragmented array of existing conservation legislation into a single Protected Areas and Species Act (eg the Conservation Act, National Parks Act 1980, Reserves Act 1977 and Wildlife Act). Within that, there would be a rationalisation (while being careful not to reduce the level of existing protections) of protected area categories, and a strengthening of the protected species element currently founded on the Wildlife Act.¹⁹ This more integrated framework for conservation will require further exploration, including to ensure that Māori perspectives on conservation are adequately reflected.²⁰ Under a protected areas hierarchy, there would be stronger recognition and protection for sites of cultural significance.

Clear requirements for corrective action would be included in new legislation, based on pre-set trigger points. For example, a change in the threat status of a

protected species would require measures to be taken. Environmental reporting would include information on the state and trends of species and ecosystems, as well as relevant actions taken in response (including enforcement).

Links to the RMA and Biosecurity Act framework would also be improved, including explicit recognition of the need to implement or support threatened species management plans. There would also be a greater role for independent institutions, including a review role for a Futures Commission in relation to conservation strategies and management plans, and potentially the introduction of limited appeal rights for an Environmental Defender’s Office in relation to concessions. Appeal rights would need to be thought through carefully, however, as the concessions framework is quite different to the consenting framework under the RMA.

A biobanking framework would be further explored and introduced, through which biodiversity offsets under multiple other regimes (eg the RMA) would be

deployed in a coherent and strategic way to optimise overall biodiversity outcomes. We think that the most appropriate home for that cross-cutting tool would, however, be a Future Generations Act rather than dedicated conservation legislation, because it would require close links to be made across multiple other statutes under which biodiversity offsetting requirements were imposed (eg the Crown Minerals Act). Similarly, while we envisage the development and active deployment of new, directive tools like Heritage Area Orders and habitat protection orders, the best place for those (given their potential impacts on private property interests) would be within the RMA.

At a broader level, we envisage placing a clearer overall stewardship responsibility for biodiversity on central government (the Department of Conservation), which would be reflected in stronger influence for the Department in regional planning under the RMA. Council responsibility for biodiversity would be set firmly at a regional rather than district level, including under the RMA.

As in most other parts of the system, funding will also be crucial if we are to improve nature conservation outcomes.

That must involve significant sums from public authorities for activities like pest management, proactive restoration, investment in fundamental science, and advocacy.

Key points

- Conservation legislation could be integrated into a single Protected Areas and Species Act.
- Requirements relating to species protection would be strengthened, protected area categories would be rationalised and strengthened, and there would be clear requirements for corrective action for the exceedance of pre-set triggers.
- More (and more consistent) funding would be required, and a biobanking model would be further explored and deployed.
- Clear stewardship responsibility for biodiversity outcomes would be placed on the Department of Conservation, with biodiversity functions under the RMA squarely placed on regional rather than district councils.

11. WIDER SYSTEM REFORM

In Chapter 13 we explore two kinds of matters. First, we identify a range of separate statutes that we generally see continuing to operate in a future system. These include statutes relating to hazardous substance and genetic modification, biosecurity, heritage, and the management of Crown land. We suggest that these frameworks should be subject to more in-depth review over time to align them with a reformed system's core (including a Future Generations Act and climate change imperatives), and point out some areas for further consideration.

We look at waste minimisation in more depth, concluding that the Waste Minimisation Act should remain the cornerstone of New Zealand's efforts to move towards a circular economy. Yet the Act and its tools (eg product stewardship schemes, product restrictions, Waste Minimisation Fund and waste disposal levy) need to be strengthened.

Secondly, we consider more systemic, cross-cutting, kinds of reforms that would not comfortably fall within any given statutory framework, or that require a more holistic perspective. Central to those are questions of funding. Not much will be able to be achieved in a future system without money. Many funding issues play out in the context of the built environment (discussed in Chapter 10) and climate change (discussed in Chapter 9) given that a lot of pressures arise from the need to create, move and maintain infrastructure. Overall, we see merit in expanding the funding and financing tools available to public authorities (especially local government) and providing a more active and strategic deployment of central government funds. We also propose that a future system needs to protect vulnerable but essential public functions,

like environmental enhancement and nature conservation, through greater hypothecation (requiring defined sources of revenue to be used for particular purposes). Funding for pest management activities and environmental advocacy is particularly vulnerable.

It is vital that adequate revenue be collected and spent by public authorities to discharge their functions, but money can be powerful in another way: to incentivise private action. We consider that economic instruments should be used in a more deliberate manner in a future system to improve environmental outcomes. We see a case for gradually deploying resource rentals over time in a way that is fair and sensitive to context. That should include freshwater and a consistent approach to coastal occupation charges. We also echo the findings of the Tax Working Group that we need to deploy green taxes with more vigour. Similarly, we suggest more strategic deployment of subsidies to drive environmental enhancement.

Over the longer term, we support further investigation and transition towards measures that will more fundamentally transform our tax base by embedding positive incentives into the way we raise revenue. That would be in the form of an environmental footprint tax (and rebate) system.

Furthermore, a future system should seek to influence people's underlying behavioural drivers, not just financial ones. We recommend the creation of a cross-agency behavioural nudging unit, and a more active mandate to investigate and deploy behavioural incentives to improve environmental outcomes. We also see value in imposing firmer environmental duties and disclosure requirements

on company directors (not just for financial risks created by climate change), and propose a more active role for government in robust green certification. Education is crucial as well, and we have proposed a future system in which environmental and climate issues are embedded in the Education Act 1989 and school curriculum, and where there is a more vigorous approach to public service messaging.

We conclude Chapter 13 by exploring the importance of a system that is self-evaluative. Neither the system nor the environment in which it operates will remain static. It needs to constantly test its performance, and respond to change. Effective information gathering is crucial here and needs to be broadened and strengthened. There are too many gaps in our knowledge at present. We recommend a system of environmental monitoring and reporting that more effectively links outcomes with both causes and the actions of public authorities and others.

The system also requires a much stronger approach to corrective action. In particular, more effort needs to go into establishing trigger points, in advance, for when

pre-planned responses get deployed. In short, we suggest that our system for environmental management needs to resemble more closely frameworks for biosecurity incursions and civil defence. A breach of bottom lines should set off alarm bells.

Key points

- More systemic change will be required alongside reforms to particular legislative frameworks.
- A future system should embrace economic instruments, including resource rentals, green taxes, and a more strategic use of subsidies.
- More emphasis should be placed on behavioural incentives, not just financial ones. The education system, public messaging, behavioural nudging, green certification and corporate disclosures are all areas in which change can be made.
- A more robust approach to monitoring, reporting and evaluation must define a future system.

12. THE IMPORTANCE OF RESOURCE MANAGEMENT REFORM

Above, we have traversed the key features of a future resource management system that we think would be a good fit for Aotearoa New Zealand. A visual snapshot of this model is shown in Figure 6 below. The path taken to get there will be crucial, and in Chapter 14 of the synthesis report we outline a rough timeline for when different measures could be taken (see also the Appendix to this paper). Some measures are urgent and can be deployed fairly easily, while others will require careful thought and development.

To some, resource management system reform might seem like an endless cycle of arguing about the same things. Upon digging out the various papers produced as part of the reforms of the late 1980s, one is struck by how much the challenges and hopes identified by the authors correspond with those identified in the synthesis report. Some of their analysis would not be out of place and could be copied almost verbatim. Furthermore, there are some eerie parallels. The chair of the present government's independent review group on system reform (the Hon Tony Randerson QC) was, in a previous life, the chair of the then Minister for the Environment's review group tasked with recommending changes to the Resource Management Bill before it was enacted in 1991. And the above-mentioned Minister for the Environment is now New Zealand's Parliamentary Commissioner for the Environment.

But the many similarities hide significant differences. We are not just relitigating the same old things. Environmental indicators have continued to decline since 1991, many now to alarming levels. There is talk of climate and ecological

emergencies, not just sustainability or protection. We have a larger population. We are a more diverse society. We have much greater technological prowess – for both better and worse. We appreciate much better the importance of issues like climate change. We are more focused on restoring past ecological damage. And we have a new generation of engaged young people who have their own expectations and priorities.

Overall, the issues we are facing go to the heart of who we are as New Zealanders and human beings. There are both threats and opportunities. Our choices will affect not just ourselves, but also our children and beyond. And there are few right and wrong answers. We therefore welcome a continuing conversation about resource management system reform and the steps to be taken along the way. Above all, we encourage people to engage closely with the government's independent system review panel, and hope that the model presented in this report provides food for thought as the government, and New Zealand society as a whole, contemplate the need for generational change. We implore lawmakers to remember that how we manage our environment and resources is not a political football. It is our future.

Over the course of 2020 and beyond, we are looking to build on the model for system reform presented in the synthesis report, and the analysis in previous reports, by exploring in more depth how it would look in particular contexts. Central to that will be the urban and built environment, oceans, and nature conservation.

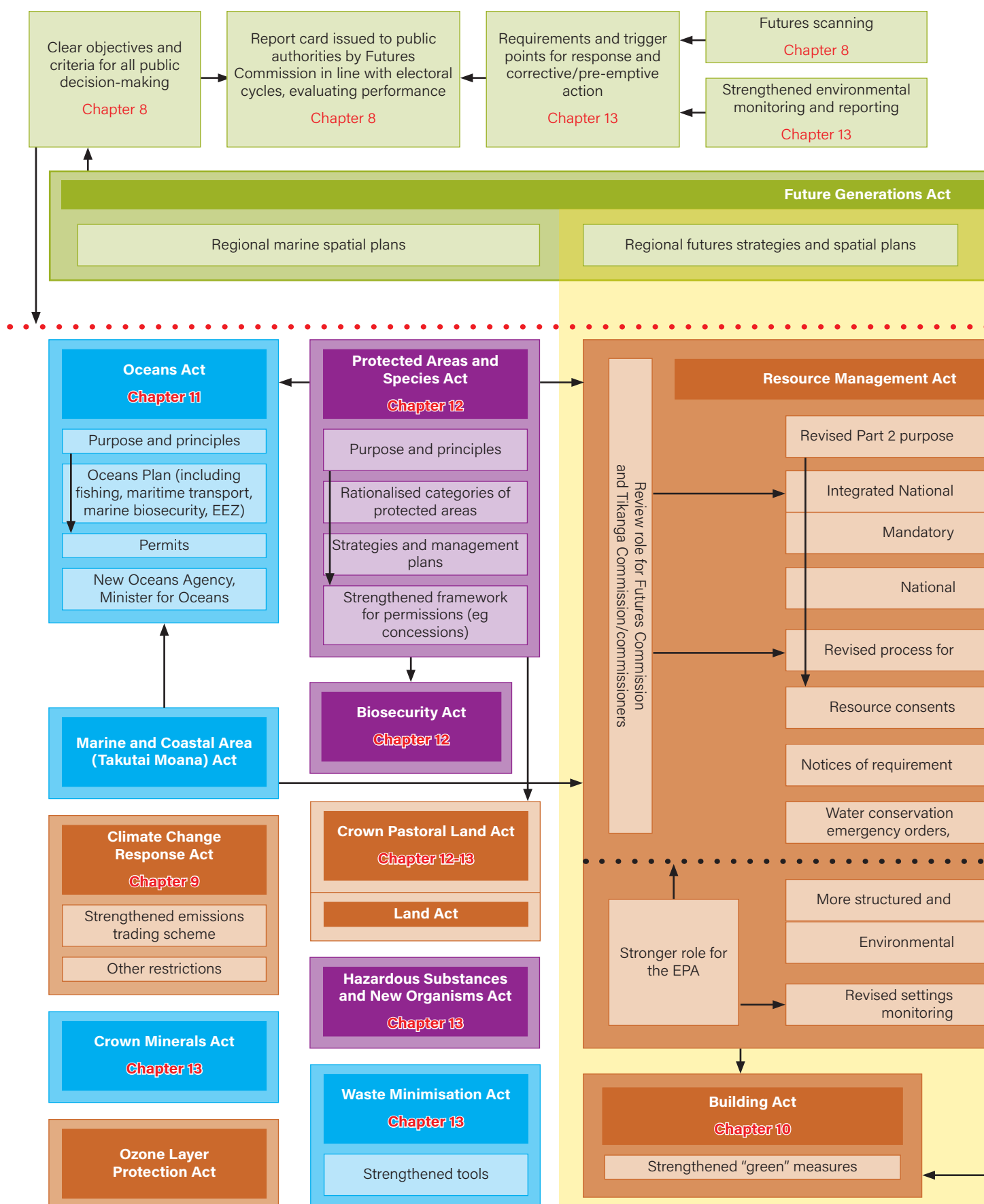
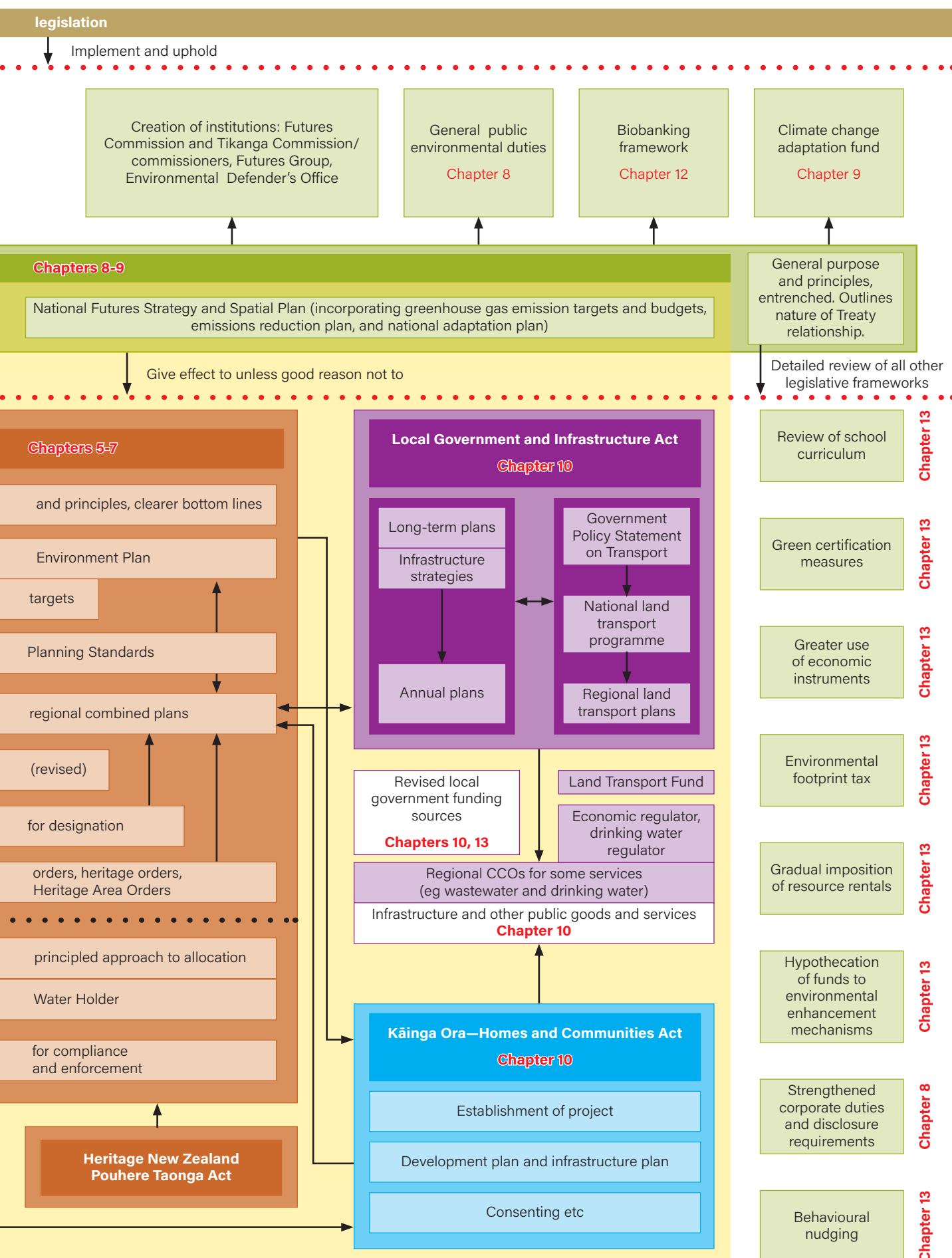


Figure 6: Key elements of a proposed future system. Yellow shading indicates frameworks particularly important for managing



urban issues. Arrows indicate key connections, although they are not exhaustive. Chapter references are to the synthesis report.

APPENDIX: A ROUGH TIMELINE FOR RESOURCE MANAGEMENT SYSTEM REFORM

Category of reform	Short-term	Medium-term	Longer-term	Conditional reforms ("Plan B" measures)
Institutional design generally	Establish an independent Futures Commission and Tikanga Commission (or tikanga commissioners within a Futures Commission)	Strengthen capacity and capabilities of a Futures Commission, and expand its functions (as outlined further below)	Integrate existing or proposed independent watchdog institutions under the umbrella of a Futures Commission (eg Parliamentary Commissioner for the Environment, Climate Change Commission, Freshwater Commission)	
	Establish an independent Environmental Defender's Office, charged with undertaking public interest litigation	Strengthen capacity and capabilities of Environmental Defender's Office		
	Amalgamate councils where no longer viable economic units in light of challenges they face	Continued conversation around local government restructuring, with an eye towards greater regionalisation of functions or boundaries where scale matters		
	Establish a true whole of system steward within government (a Futures Group) comprised of high level officials from relevant departments and Crown agents	Establish a national Environmental Water Holder to operate in water markets (ie trading or auctioning mechanisms)		
	Establish a cross-agency behavioural insights group			
RMA norms and planning	Rewrite Part 2 of the Act (its purpose and principles) to recognise the pre-eminence of environmental bottom lines, the need to give effect to the principles of the Treaty, the importance of good urban planning, and the need to resolve allocative issues	Implement a revised Part 2 through national direction, council plans and other tools		
	Define a principle of "subsidiarity" in Part 4 of the RMA to give clearer expectations about the relative roles of central and local government under the Act			
	Require central government to produce a single, integrated and coherent piece of national direction (a National Environment Plan) addressing all matters of national importance and relationships between them. Deem existing NPSs and NESs to be part of this NEP.	Review existing national direction in order to give effect to a revised Part 2, to align them with each other, and to fill gaps (especially in relation to climate change). Set clear trigger points for further review.	Continually review and update NEP in light of clear, pre-identified trigger points for action.	Provide greater role for arm's length EPA in creating regulatory components of national direction
	Require the establishment of environmental targets in national direction, and put in place timeframes and an accountability framework around them			
	Extend National Planning Standards to apply to national direction			
	Establish a stronger role for the EPA to set regulatory provisions for some aspects of an NEP, such as limits for freshwater quality and flows	Implement an integrated NEP through council plans		Introduce appeal rights to the Environment Court in relation to some aspects of national direction
	Establish a revised process for changing an NEP, including a co-creation/cooperative role for Māori and local government and a review role for an independent Futures Commission			
	Strengthen framework for water conservation orders	Introduce other "order-based" tools akin to water conservation orders (eg Heritage Area Orders)		
	Provide direct assistance (financial and otherwise) from a national level body to councils to implement national direction			

Category of reform	Short-term	Medium-term	Longer-term	Conditional reforms ("Plan B" measures)
RMA norms and planning (continued)	Local government	"Reset" existing regional, district and unitary plans using a process akin to the Auckland Unitary Plan process/proposed Freshwater Planning Process (planning process 1). Process 1 includes a greater role in co-creation for Māori, and input by central government. Integrate separate plans into a single combined plan at a regional level.	Undertake periodic whole of plan resets, at a regional level, using planning process 1.	Provide greater role for arm's length EPA in creating regulatory components of council plans
		Establish a separate process for plan changes (planning process 2) involving a single stage hybrid panel, except where called in by the Minister or Futures Commission (in which case use planning process 1). Process 2 includes a greater role in co-creation for Māori, and input by central government.		
		Provide for a more direct role for a strengthened EPA in determining the regulatory components of council plans for some matters of national importance (eg freshwater quality and flow limits)		
		Establish a review role for the Futures Commission and Tikanga Commission/ commissioners under planning process 1 (akin to the role of the Auckland Independent Hearings Panel in the Unitary Plan process).		
		Amend Part 4 of the RMA to clarify that planning, consenting and enforcement responsibility for biodiversity lies with regional councils		
		Implement stronger bottom-up measures in planning, including citizens' assemblies and informal collaborative processes. Remove a separate formal collaborative planning process in the RMA.		
		Empower and fund the Environmental Defender's Office to take on public interest litigation under the RMA, including judicial review.		
		Retain appeal rights for consents under the RMA		
		Allow appeal rights to the Environment Court to be exercised by the Environmental Defender's Office in relation to council notification decisions		
		Introduce a new notification status, whereby a proposal is publicly notified and submissions invited, but no appeal rights follow (or they follow only for an Environmental Defender's Office)		
RMA consenting and compliance monitoring and enforcement	Consenting	Introduce a mechanism for lodging a "project consent" application directly with the EPA for nationally significant proposals, which would then coordinate decision-making processes under multiple statutory frameworks		
		Amend section 104 of the RMA so that it requires consent decisions to give effect to or be consistent with an NEP		
		Remove or amend the prohibition on councils considering the impacts of activities on climate change		
		Consider removing consenting jurisdiction from elected councillors		
		Establish a pool of nationally accredited independent consenting commissioners under the auspices of the Futures Commission or the EPA, to be deployed upon council request		
		Empower the Futures Commission (alongside the Minister) to call in nationally important matters		

Category of reform	Short-term	Medium-term	Longer-term	Conditional reforms ("Plan B" measures)
RMA consenting and compliance monitoring and enforcement	Remove the ability for Boards of Inquiry to consider consent applications			
	Strengthen the role of the EPA in making first instance decisions on some consent applications (eg for freshwater), and provide clear criteria as to when powers would be transferred to the EPA			
Compliance monitoring and enforcement	Amend the Criminal Procedure Act to specifically identify council prosecutions as "public", attracting mandatory oversight from the Solicitor-General			
	Broaden the range of criminal and civil penalties available under the RMA			
	Strengthen provisions allowing consent to be refused or revoked for repeated non-compliance			
	Clarify in legislation that enforcement decisions are not to be made or influenced by elected members			
	Provide strong originating jurisdiction for the EPA for enforcement, and the power (and a duty) to take over or assist in enforcement action taken by councils. Provide clear guidance in legislation or national direction as to when the EPA would be required to or be able to intervene.			Persistent failures by councils in enforcement should trigger temporary or permanent transfer of enforcement powers to EPA
	Integrate compliance monitoring and enforcement data in a broadened environmental reporting regime			
	Implement greater cost recovery for permitted activity monitoring			
RMA allocation	Retain allocative functions within the RMA for those resources managed under the Act (including freshwater)			
	Introduce new statutory principles within the RMA to guide a regulatory process for allocation (including reallocation and deallocation)			
	Deploy collaborative processes as a first step to deallocate existing rights within overallocated catchments			
	Progress a regulatory process for reducing existing rights in overallocated catchments (broadly reflective of the proposed freshwater planning process) where collaborative process fails or is inappropriate due to challenges or urgency			
	Establish a structured process for allocating/reallocating freshwater abstraction rights (1) in the event of the expiry of existing specifically consented rights and (2) where there is new allocation. Establish two tranches of water rights: (1) a tranche allocated by regulatory means, such as attribute weighted tendering (or to meet Treaty obligations); and (2) a tranche allocated by economic means, such as auctioning.	Further investigate the deployment of water trading regimes where appropriate in light of environmental and market conditions		Respond to ongoing legal and political developments concerning Māori rights and interests in freshwater
		Establish a national Environmental Water Holder. Confer on this entity a mandate to operate in any future water markets (auctioning and trading mechanisms) to enhance public interest outcomes		
	Gradually deploy fair, and tailored, resource rentals to be directed back to public interest purposes, including a degree of control by Māori			

Category of reform	Short-term	Medium-term	Longer-term	Conditional reforms ("Plan B" measures)
Future Generations Act	Enact a new Future Generations Act with a general, overarching purpose statement	Establish a process for reviewing all other relevant legislation, including their purposes and principles, to align them with new imperatives in a Future Generations Act	Integrate other legislation of a systemic nature into the Future Generations Act (including those establishing cross-cutting institutions like the EPA, and the framework for general environmental monitoring and reporting)	
	Establish a new Futures Commission, an independent, standing watchdog body having roles under various other statutes (including in the review of instruments under the RMA). Alongside, or within, this Commission, establish a Tikanga Commission (or commissioners) having a comparable watchdog and review role, but from a Māori perspective.		Integrate other independent watchdog institutions (eg the Climate Change Commission and Parliamentary Commissioner for the Environment)	
	Provide a set of general duties and criteria that would apply to all public decision-making (including non-statutory decisions like investment and procurement)	Provide for the Futures Commission to evaluate the performance of public authorities, including assessing progress towards mandatory targets, by issuing a scorecard. Require the government to respond and/or take corrective measures.		Require councils to obtain accreditation from the Futures Commission for the discharge of their environmental functions (eg under the RMA)
	Establish a true whole of system steward within government (a Futures Group) comprised of senior officials from relevant departments and Crown agents			
	Confer on the Futures Commission a futures scanning role, looking ahead to identify threats and opportunities. Integrate or align futures scanning with broader environmental reporting cycles.	Require a government response to futures scanning reports tabled in Parliament		
	Strengthen a general public duty to protect the environment	Development of guidance as to what duties mean in particular contexts		
	Establish a framework for creating a National Futures Strategy and associated National Spatial Plan, including a co-creation role for Māori.	Deploy futures strategies and spatial plans to align and coordinate regulatory, funding and other measures across multiple statutory frameworks and institutions towards common goals. Require these plans to be accompanied by indicative sources of funding.	Facilitate an ongoing conversation around a national population policy	
	Establish a framework for creating regional (or cross-regional) futures strategies and spatial plans, including in relation to planning for rapid urban growth, including a co-creation role for Māori.			
	Establish policy programme to investigate and develop a biobanking framework within a set timeframe	Implement a biobanking framework, where biodiversity offsets required under multiple frameworks are deployed in a coherent manner to maximise overall benefits		
	Integrate the strategic elements of climate change response, presently in the Climate Change Response (Zero Carbon) Amendment Act, into the Future Generations Act, including targets and budgets	Integrate emissions reduction plans and adaptation plans into national and regional futures strategies		
Climate change legislation	Strengthen the emissions trading scheme and price agricultural emissions in some form	Review all relevant legislation with a view to aligning it with climate change mitigation and adaptation imperatives		
	Introduce stronger enforcement mechanisms for a failure to meet targets or carbon budgets			
	Establish a national Climate Change Adaptation Fund	Build up, strengthen and deploy a Climate Change Adaptation Fund using partnership approach between central government, local government and Māori		
	Integrate climate change adaptation considerations in frameworks concerned with funding measures (eg infrastructure) that will be impacted by climate change			

Category of reform	Short-term	Medium-term	Longer-term	Conditional reforms ("Plan B" measures)
Legislation for the built/urban environment	More closely align decision-making processes and timeframes under the Local Government Act and Land Transport Management Act			
	Integrate the Local Government Act, Land Transport Management Act, Infrastructure Commission legislation and proposed Water Services Bill into a single Local Government and Infrastructure Act			
	Establish a dedicated drinking water regulator, and expand strengthened standards to all providers			
	Establish a national level economic regulator to oversee adequacy and fairness of investment and pricing for drinking water and wastewater services			
	Impose consistent national standards for wastewater discharges as part of an NEP under the RMA	Establish minimum stormwater discharge standards as part of an NEP under the RMA		
	Encourage regionalisation of drinking water and wastewater service delivery through the use of CCOs, including central government contributions	Provide for the regionalisation of water services through a CCO model, including central government contributions	Revisit the necessity of central government contributions to water services	
	Investigate further the advantages and disadvantages of regionalising local transport infrastructure through a CCO model, alongside continued national involvement via the NZTA			
	Expand the funding and financing tools available to local government, including value uplift capture mechanisms, direct subsidisation by central government according to need or demand, and the ability to levy a bed tax	Investigate and deploy a locally levied GST (although not as a replacement for rates), with corresponding reduction in nationally-levied GST		
	Strengthen the Building Act and Building Code (and infrastructure standards) to facilitate stronger green outcomes in construction and urban development	Consider whether more can be done to align or integrate heritage protection under the RMA and the Heritage New Zealand Pouhere Taonga Act		
	Legislate development powers to an urban development authority (Kāinga Ora – Homes and Communities) but in a way that is strictly subject to environmental limits contained in other legislation			
Oceans legislation	Establish a new ministerial portfolio for oceans, to lead policy development on an integrated approach to oceans management	Establish a dedicated Oceans Agency (or as part of a strengthened EPA). Strengthen Māori input into decision-making by the Agency.		
	Strengthen marine management capability within the EPA	Enact a dedicated Oceans Act, subsuming a number of existing statutes relevant to the marine environment (including the Fisheries Act, the RMA in its operation beyond 3 nautical miles, the EEZ Act, aspects of the Biosecurity Act and the Maritime Transport Act), but excluding conservation focused statutes (eg the Marine Mammals Protection Act).		
	Develop a framework for marine spatial planning under the Future Generations Act, to flow through into other "implementation" frameworks like the RMA	Remove jurisdiction from the RMA (and regional councils) for oceans management beyond 3 nautical miles, and give them to an Oceans Act and Oceans Agency		
	Commence work on an integrated Oceans Plan to be promulgated under an Oceans Act	Finalise an integrated Oceans Plan		

Category of reform	Short-term	Medium-term	Longer-term	Conditional reforms ("Plan B" measures)
Conservation legislation	Commence preparatory policy work on first principles review of the "conservation" elements of the resource management system	Rationalise conservation legislation into an integrated Protected Areas and Species Act, applying to both land and sea, and having two substantive parts: one focused on protected areas, and one focused on species protection		
	Strengthen connections between plans under the RMA and species management plans made under conservation legislation			
	Rationalise and strengthen protections for different categories of protected areas, including recognising internationally significant areas more strongly and providing for Māori concepts and practices in the management of protected areas			
	Provide stronger recognition for ecosystems within the Wildlife Act, and expand its coverage	Provide a clear mandate for the proactive identification, assessment and protection of a coherent network of marine protected areas		
	Provide for a mandatory response when a species' threat classification changes, such as a compulsory management plan			
	Require authorisation under the Wildlife Act to be obtained prior to resource consent under the RMA			
	Provide legal clarification that conservation management plans must be given effect to in the same way that national direction must be given effect to under the RMA			
	Integrate the Litter Act into local government legislation	Consider feasibility of integrating parts of the Forests Act into the Climate Change Response Act and the RMA		
	Strengthen a government duty to establish priority products for mandatory product stewardship schemes	Further regulatory restrictions on products not able to be recycled or recovered		
	Increase the waste disposal levy and expand its coverage			
Other legislative frameworks and wider system change	Facilitate a mature ongoing conversation about the risks and opportunities of genetic technology for improving biodiversity outcomes			
	Deploy more targeted economic instruments, including novel financial tools, green taxes, deposit-refund schemes, feebates, and greater (although not absolute) deployment of user-charging mechanisms	Implement a framework for congestion charging and deploy where required	Carry out further investigation, and deployment, of an environmental footprint tax	
	Hypothecate revenue raised through green taxes and resource rentals by channelling it back into environmental restoration measures			
	Make the RMA and local government legislation clearer to allow for, and encourage, charges to be imposed on people or landowners on the basis of the environmental effects they generate	Deploy national direction (through an NEP) on green taxes		

Category of reform	Short-term	Medium-term	Longer-term	Conditional reforms ("Plan B" measures)
Other legislative frameworks and wider system change (continued)	Expand the functions of the Minister for the Environment to include the investigation of behavioural incentives			
	Establish a cross-agency behavioural insights group	Work with councils to develop programmes for behavioural nudging to improve environmental outcomes		
	Introduce tax concessions for environmentally desirable activities			
	Continue work on natural capital valuation			
	Develop national direction or guidance for the appropriate use of discount rates in the context of cost-benefit analyses of future environmental impacts			
	Deploy subsidies for environmentally beneficial activities in a more strategic, less ad hoc, manner, including payment for the active provision of ecosystem services on private land			
	Strengthen the framework for corporate disclosures to embrace climate and environmental risks, and feed this information into a broadened environmental reporting framework	Greater involvement of the government in "green" certification of private sector initiatives		
	Strengthen directors' duties in relation to climate and other environmental risks			
	Provide for greater central government financial and other support for local government functions where they are imposed by central government (eg when imposed through national direction)			
	Review the school curriculum to make climate change and environmental sustainability mandatory elements	Conduct a review of core elements of key tertiary programmes		
Monitoring, reporting and evaluation	Introduce stronger, government branded public messaging around environmental issues			
	Develop a more integrated and comprehensive approach to environmental monitoring and reporting at regional and national levels, and one that links outcomes to causes (eg sectors) and to public interventions (eg compliance and enforcement activities)	Establish a single, national-level consenting and compliance database		
	Establish a clear mandate, funding and pathway for public authorities to fill gaps in state of the environment monitoring data			
	Require the establishment of pre-set indicators requiring corrective action to be taken if triggered	Ongoing reviews and corrective action		

Figure 7: A rough timeline for system reform

ENDNOTES

- 1 Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019).
- 2 See <www.eds.org.nz/our-work/rm-reform-project/>
- 3 On the use of EDS's work as one input into the process, see *Comprehensive review of the resource management system: Scope and process* (2019 Cabinet Paper) at 18.
- 4 Available at <www.eds.org.nz/our-work/rm-reform-project/>
- 5 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 6.
- 6 Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019).
- 7 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 8.4, on different lenses that could be used to divide our statutes.
- 8 See Chapter 4 of the synthesis report, describing the current system.
- 9 It is unclear what proposals for infrastructure and service delivery will emerge from the government's three waters review, but options being seriously considered include some that would see responsibility for planning and funding being shifted away from councils. Generally, see <www.dia.govt.nz/Three-Waters-Review>
- 10 New Zealand Infrastructure Commission/Te Waihanga Act 2019.
- 11 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 123; *Legislative Design and Advisory Committee Legislation guidelines: 2018 edition* (2018) at 9; Parliamentary Commissioner for the Environment *Making difficult decisions: Mining the conservation estate* (2010).
- 12 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 124.
- 13 The Land Drainage Act 1908 and the Soil Conservation and Rivers Control Act 1941.
- 14 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 123, 125, 152; *Legislative Design and Advisory Committee Legislation guidelines: 2018 edition* (2018).
- 15 Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 6.
- 16 Grateful thanks go to Sally Gepp for drafting assistance.
- 17 Although the Ministry for the Environment is now moving towards a more standardised and directive format for NPSSs.
- 18 The scale of investment that will be required will be enormous, given that billions of dollars of assets and tens of thousands of people are at risk. New funding mechanisms will likely be needed: see J Boston and J Lawrence *The case for new climate change adaptation funding instruments* (Institute for Governance and Policy Studies and New Zealand Climate Change Research Institute, 2017); New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019).
- 19 An integrated Act would also continue to address issues other than ones relating to species and particular areas (including heritage, fish and game provisions, and general nature conservation advocacy).
- 20 *Ko Aotearoa Tenei* (Wai 262 Waitangi Tribunal Report, 2011).



EDS is leading a project which is taking a first principles look at the resource management system in New Zealand. This *Summary of Proposals* outlines the key points from phase 2 of the project, which are described more fully in the Synthesis Report. It outlines the bones of what an ambitious future system could look like, and how we might get there.